



Seeking Shelter - JBS and 3tentos Are Our Top Picks

- We are updating our Proteins & Agribusiness coverage, factoring in a higher cost of equity, CDI rate, and a more depreciated BRL. We expect 2025 to be mostly about a carryover story rather than accelerating momentum. Still, with a weaker BRL, we see results growing YoY across our coverage, making the sectors, in general, at least defensive.
- JBS (OP, R\$48) is our Top Protein Pick, and the best option for a defensive play. We see a recurring 2025E FCFE yield of 15%, which is unmatched in the F&B and Agri universe. Elsewhere, our Neutral ratings on BRF (R\$23/sh TP) and Marfrig (R\$19/sh TP) are unchanged.
- 3tentos (OP, R\$21) is our Top Agri Pick, offering the strongest growth in our coverage (2024-26 net income CAGR of 32%), and a 7.9x P/E 26 already on par with the sector average. We also keep our Outperform ratings for Boa Safra (R\$15/sh TP) and Jalles (R\$8/sh TP), as 2025 could prove an important de-risking year for both.
- We see improved asymmetry for both SLC (N, R\$22) and SMTO (N, R\$28), but still believe some risks to this year's results need to be mitigated, while we do not expect the carryover story based on near-term earnings to provide the triggers for material outperformance.

Cycles outlook: 2025 to be more about carryover than accelerating momentum. We expect the cyclical trends seen in late 2024 to broadly persist this year. For protein companies, this means strong poultry results, especially as we have yet to see signs of a material increase in supply. Still, 2025 should be more about carrying over current margins rather than additional acceleration. In beef, the long-awaited retention cycle in the US should intensify, and we expect the same in Brazil—although here, a strong top line should help offset weaker margins. For soybeans and cotton, we believe the downside has become more limited, and the same applies to sugar (where global S-D is tight) and ethanol. With mostly stable cyclical backdrops and a weaker BRL, we believe results should grow YoY across our Protein and Agri coverage, making the sectors, in general, at least defensive.

JBS is the vehicle to play defense. When protein cycles swing, the challenge is often more about grasping the magnitude of their movements rather than their direction. This was certainly the case in 2024. In 2025, however, with poultry margins stabilizing but not yet materially turning, the challenge might be more about understanding their duration. With that in mind, purely based on the carryover of recent margins, we expect JBS to deliver a recurring FCFE yield of 15% in 2025E, which is unmatched in the F&B and Agri universe. For investors looking for a defensive play, JBS stands out as the best option in our coverage. We are updating our TP to R\$48/sh (from R\$46) and reiterating it as our Top Protein Pick. We maintain our Neutral ratings on BRF (R\$23/sh TP) and Marfrig (R\$19/sh TP), primarily due to the lack of near-term earnings momentum and lower yields in relative terms.

3tentos is our preferred bottom-up story; Keeping OP for Boa Safra and Jalles. 3tentos remains our Top Agri Pick, combining a defensive profile with the strongest growth story in our coverage, underscored by an expected 2024-26 net income CAGR of 32%. The 7.9x P/E 26 is on par with the sector average, which seems unwarranted given a ROIC that should exceed the sector average by more than 5p.p. by then. We reiterate our Outperform rating and update our TP to R\$21/sh (from R\$20). Elsewhere, we are reducing our TPs for Boa Safra to R\$15/sh (from R\$20) and Jalles to R\$8/sh (from R\$10), largely due to a higher Ke, but we keep our Outperform ratings and believe 2025 could prove an important de-risking year for both.

Better asymmetry for SLC and SMTO, but near-term triggers still lacking. We see improved asymmetry for both SLC and SMTO, but we still believe some risks to this year's results need to be mitigated—particularly cotton planting progress for SLC and the trajectory of sugar prices for SMTO. We estimate FCFE yields (ex-growth) of 7% and 11% for both in the upcoming FY, respectively, but do not expect the carryover story based on near-term earnings to provide the triggers for material outperformance. We are therefore maintaining our Neutral ratings, with TPs of R\$22/sh for SLC (unchanged) and R\$28/sh for SMTO (from R\$32).

Ticker	Rating	FX	Last Px	TP	Upside
JBSS3 BZ	OP	BRL	34.8	48.00	38%
TTEN3 BZ	OP	BRL	15.9	21.00	32%
SOJA3 BZ	OP	BRL	10.4	15.00	44%
JALL3 BZ	OP	BRL	4.5	8.00	77%
BRFS3 BZ	N	BRL	22.0	23.00	4%
MRFG3 BZ	N	BRL	15.7	19.00	21%
SMTO3 BZ	N	BRL	22.5	28.00	25%
SLCE3 BZ	N	BRL	17.5	22.00	26%

Ticker	Mkt Cap \$mn	3M ADTV US\$mn	P/E 2025E	EV/EBITDA 2025E
JBSS3 BZ	77,279	285.5	6.7	4.5
TTEN3 BZ	7,901	17.0	10.9	7.6
SOJA3 BZ	1,402	8.5	8.7	5.8
JALL3 BZ	1,360	4.1	6.8	2.4
BRFS3 BZ	35,707	227.9	10.0	4.3
MRFG3 BZ	13,828	170.5	13.0	5.7
SMTO3 BZ	7,473	33.6	8.1	3.1
SLCE3 BZ	7,708	39.8	10.2	7.7

Henrique Brustolin
henrique.brustolin@bradescobbi.com.br
+55 (11) 97696-8487

Pedro Fontana
pedro.fontana@bradescobbi.com.br
+55 (11) 98923-0868

Table of Contents

Comps Table.....	3
Proteins.....	4
Sector Snapshot: JBS Is Our Top Protein Pick.....	4
Poultry Cycle: Strength Is Holding; Now It's About Sustaining It.....	4
Beef Cycle: A Downward Trend; Brazil's Top Line to the Rescue.....	6
Substitution Effect: Also Supportive of Poultry Prices.....	8
JBS: Low Risk, High Reward (OP, R\$48).....	9
BRF: The Aftermath of Momentum - A Stronger Company, Priced In (N, R\$23).....	10
Marfrig: US Beef Overhang to Offset Outperformance in Brazil (N, R\$19).....	11
Agribusiness.....	13
Sector Snapshot: 3tentos Is Our Top Agri Pick.....	13
Grains & Cotton: The Worst Is Behind Us.....	13
Sugar & Ethanol: At a Healthy Run Rate.....	16
3tentos: Compounder at the Core, Defensive at the Base (OP, R\$21).....	19
Boa Safra: It's All About Commercial Execution (OP, R\$15).....	21
Jalles: Heading for a Stronger Year, with More Sugar and Cane (OP, R\$8).....	23
São Martinho: Better Asymmetry, But Carryover Alone Won't Be Enough (N, R\$28).....	24
SLC: A Top Performer, (Still) at the Mercy of the Cycle (N, R\$22).....	25
Macro Sensitivity.....	28

Comps Table

	Country	Market Cap (USD mn)	Rating	Target Price	Stock Price	Upside (%)	EV/EBIT			EV/EBITDA			P/E		
							2024	2025	2026	2024	2025	2026	2024	2025	2026
Agribusiness Players															
3Tentos	BZ	926	Outperform	21.0	15.9	32%	9.6	8.4	6.0	8.7	7.6	5.4	13.2	10.9	7.9
Boa Safra	BZ	274	Outperform	15.0	10.4	44%	8.6	6.3	5.3	7.9	5.8	5.0	11.2	8.7	7.2
Jalles Machado	BZ	332	Outperform	8.0	4.5	77%	8.7	6.5	6.2	2.8	2.4	2.3	14.4	6.8	4.8
São Martinho	BZ	1,576	Neutral	28.0	22.5	25%	8.7	6.7	6.6	3.7	3.1	3.0	12.8	8.1	7.0
SLC Agrícola	BZ	1,390	Neutral	22.0	17.5	26%	9.8	7.5	6.7	7.1	5.7	5.2	14.9	10.2	8.0
Adecoagro	AR	992	-	-	9.5	-	6.4	7.1	7.1	3.6	3.8	3.8	7.0	8.6	9.5
BrasilAgro	BZ	393	-	-	22.5	-	5.9	-	6.3	5.1	-	5.1	5.7	8.3	8.3
Agribusiness Average		826					8.2	7.1	6.3	5.5	4.7	4.3	11.3	8.8	7.5
Food & Beverage Players															
JBS	BZ	13,176	Outperform	48.0	34.8	38%	7.0	7.0	7.9	4.8	4.5	4.8	7.3	6.7	7.8
BRF	BZ	6,320	Neutral	23.0	22.0	4%	6.9	6.4	7.8	4.8	4.3	4.8	9.8	10.0	11.7
Marfrig	BZ	2,378	Neutral	19.0	15.7	21%	9.4	9.5	9.8	5.9	5.7	5.8	7.4	13.0	12.7
Ambev	BZ	29,473	Neutral	12.0	11.0	9%	7.1	6.6	6.6	5.3	5.0	4.9	12.0	10.4	10.4
Camil	BZ	281	-	-	4.7	-	6.5	6.3	6.1	4.7	4.5	4.5	6.7	7.4	6.5
M.Dias	BZ	1,399	-	-	24.2	-	10.5	8.6	7.3	6.5	5.6	5.3	12.3	10.5	10.0
Food & Beverage Average		840					7.9	7.4	7.6	5.3	4.9	5.0	9.3	9.7	9.8

Source: Bloomberg, Bradesco BBI

Proteins

Sector Snapshot: JBS Is Our Top Protein Pick

We expect 2025 to be another strong year for poultry players, which is rather atypical in a cycle where upswings and downturns usually happen much faster. Still, following a record 2024, our view is now more about results being sustained at peak 2H24 levels rather than accelerating much further. It is more about the carryover of current margins rather than additional acceleration.

With that, along with a weaker BRL, we see both JBS (OP, R\$48) and BRF (N, R\$23) growing their results YoY, but we also reiterate that JBS is our Top and only pick in the Protein space, offering: (i) room for upward earnings revisions (BBle 2025E EBITDA is at 9% above consensus, and it embeds a downturn in poultry margins, especially in 2H25), (ii) undemanding valuations (15% FCFE yield), (iii) an important re-rating optionality if the US listing goes through, and (iv) a welcome defensive profile, given its diversification, USD revenue exposure, strong balance sheet, and minimal exposure to interest rates in Brazil.

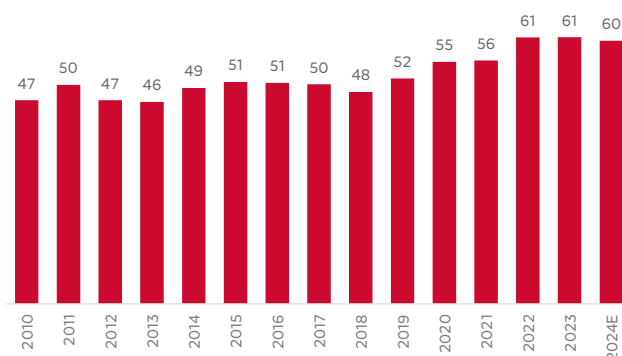
In the case of Marfrig (N, R\$19), we expect a strong top line in South America to also allow results to grow, but muted momentum in the US beef market could keep the triggers limited in a historically pro-cyclical sector.

Poultry Cycle: Strength Is Holding; Now It's About Sustaining It

We continue to see poultry production as being well under control, which reinforces the view that producers' margins should remain strong amid a cost environment that also does not suggest that grains will experience material headwinds in the near future.

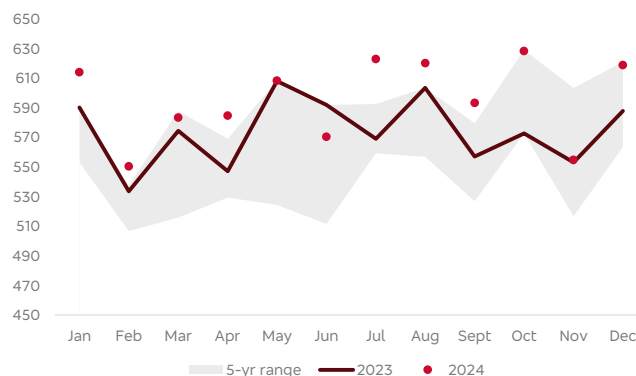
In Brazil, chick placements have not been accelerating sequentially, and the total placement level not surpassing July 2024 levels. The latest estimate also points to 2024's laying flock falling by 1% YoY, which is the strongest sign that supply may still take a while to materially accelerate.

Figure 1 - In Brazil, the laying flock has not increased in 2024, which is the main sign that supply may take a while to accelerate (mn heads)



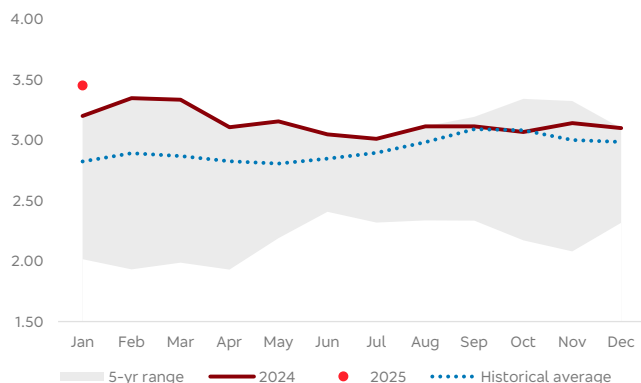
Source: APINCO, Bradesco BBI

Figure 2 - Pullet placements in Brazil have not accelerated sequentially since mid-2024 (mn heads)



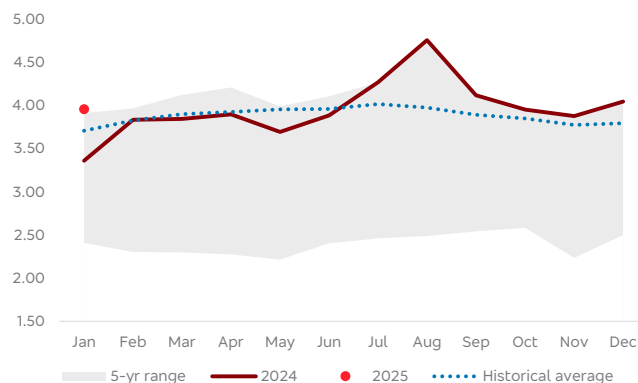
Source: APINCO, Bradesco BBI

Figure 3 - With production under control, the BZ domestic poultry spread is likely to remain at high levels...



Source: CEPEA, IEA, Bloomberg, Bradesco BBI

Figure 4 - ... and we also believe this will be the case for export poultry spreads

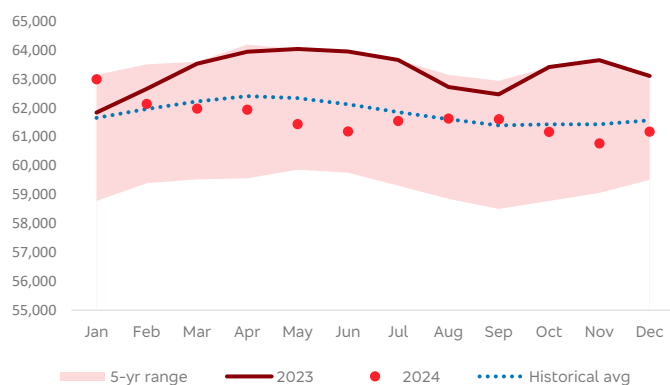


Source: CEPEA, Secex, Bradesco BBI

In the US, the laying flock is falling at an even sharper 3% YoY, without any clear signs of sequential expansion. Pullet placements throughout last year have been high, but that has still failed to translate into a larger number of hens in production. Meanwhile, although egg sets have indeed been high, we also believe this correlates to a lower hatchability level.

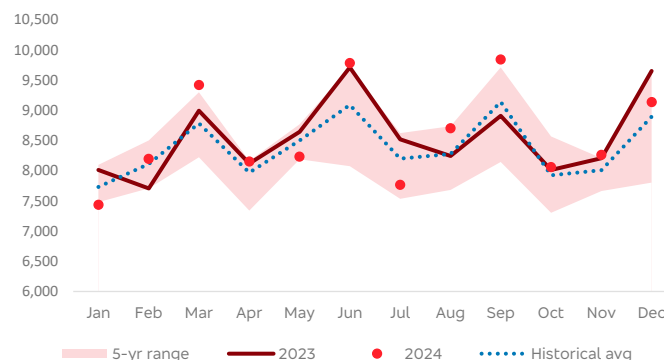
US poultry meat production did grow 1% YoY during 2H24, but this must be qualified to account for lower production volumes in 2H23, which was precisely when the cycle started to improve. The 2H24 production figure still remained below historical highs for the period, despite poultry production displaying a clear historical growth trend while US beef supply has tightened further.

Figure 5 - In the US, the laying flock has also declined in 2024 (mn heads)...



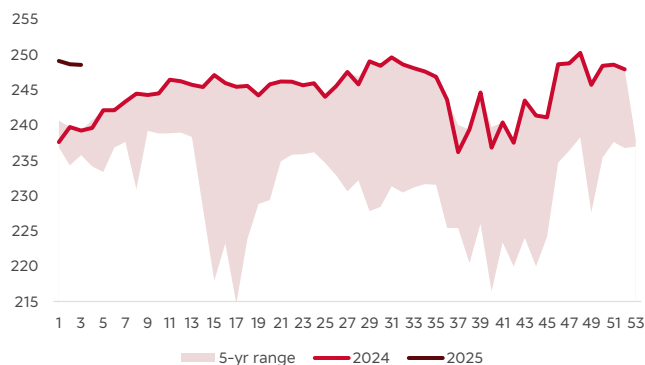
Source: USDA, Bradesco BBI

Figure 6 - ... despite intended pullet placements being elevated throughout the year (mn heads)



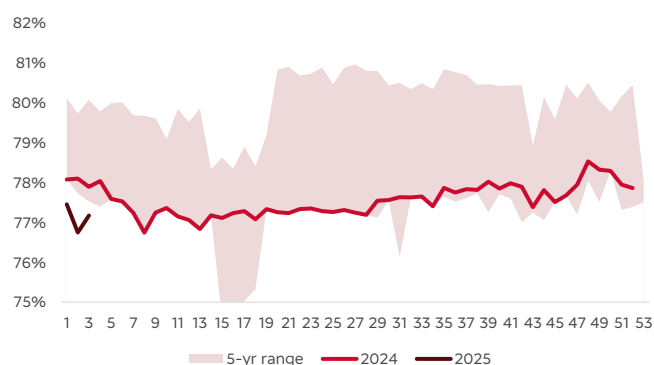
Source: USDA, Bradesco BBI

Figure 7 - Meanwhile, egg sets have been higher in 2024 and this continues to be the case in 2025 (mn eggs)...



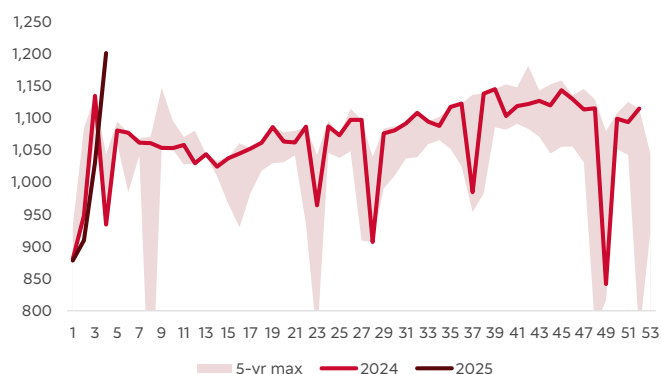
Source: USDA, Bradesco BBI

Figure 8 - ... but hatchability is at all-time lows, and we also believe this reflects the higher egg sets



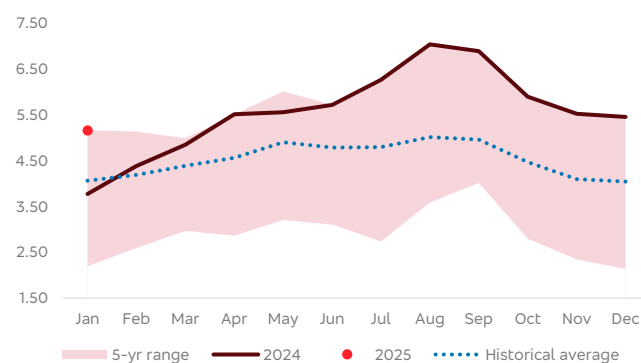
Source: USDA, Bradesco BBI

Figure 9 - Lower hatchability and higher mortality have been limiting chicken meat production (mn lb)...



Source: USDA, Bradesco BBI

Figure 10 - ... explaining domestic poultry spreads in the US at high levels



Source: USDA, Bradesco BBI

Beef Cycle: A Downward Trend; Brazil's Top Line to the Rescue

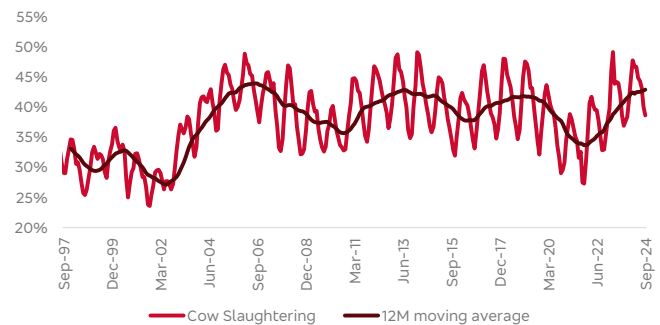
We see 2025 as a tougher year for beef companies' margins, with the retention phase intensifying in both Brazil and the US.

In Brazil, following a record slaughtering volume of 38.9mn heads in LTM 9M24 (+20% YoY), underpinned by a larger cattle herd as well as elevated cow liquidation (42.9% of total slaughtering as of 9M24, or +2p.p. YoY), calf prices have been rising relative to cattle prices and a new retention phase looms ahead.

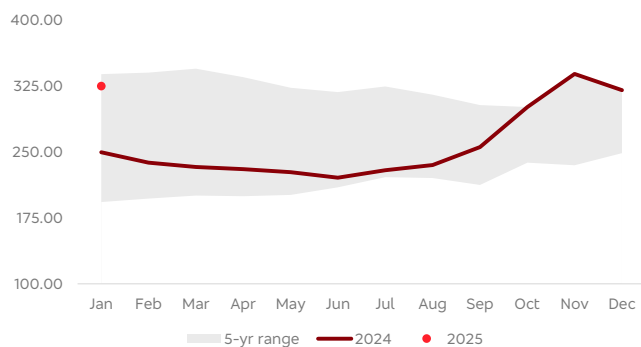
Still, given how cattle prices showed a material uptick in late 2024 (spot prices are 27% above the 2024 average), we also expect Brazilian beef players' top lines to be strong in 2025. Total slaughtering volumes are also likely to remain elevated relative to historical levels given the bigger herd. Thus, we do not necessarily think 2025 will be much weaker YoY when it comes to nominal results in general, but there should be a different breakdown with a stronger top line, weaker margins, and possibly higher working capital (WK) consumption in light of rising prices.

Figure 11 - Cattle slaughtering in Brazil grew 20% YoY in LTM 9M24

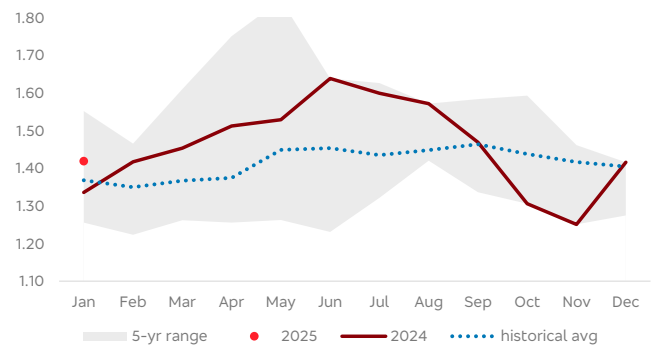
Source: IBGE, Bradesco BBI

Figure 12 - With the share of cows as % of total slaughtering reaching the highest level since 2007, a new retention phase looms ahead

Source: IBGE, Bradesco BBI

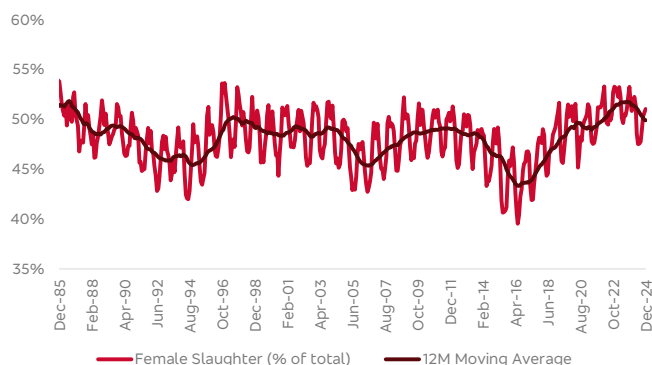
Figure 13 - Cattle prices have already accelerated, with spot prices 27% above the 2024 average (R\$/@)...

Source: CEPEA, Bradesco BBI

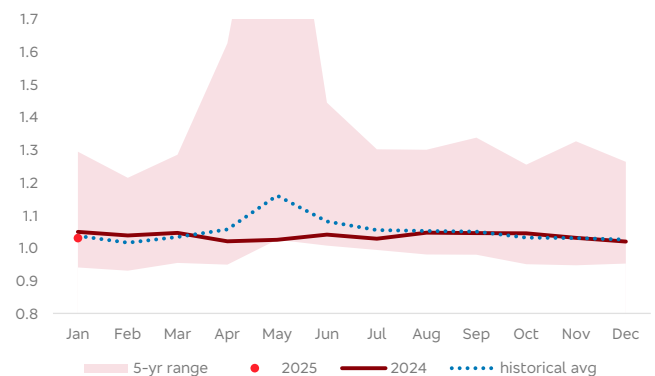
Figure 14 - ... but solid beef prices and the BRL depreciation have prevented a sharper deterioration in export spreads

Source: CEPEA, Secex, Bradesco BBI

In the US, the retention phase has finally started, but cows and heifers still accounted for 50% of the total slaughter in 2024, vs. ~41% during the lows of previous cycles. The herd of 86mn heads is already 1% smaller than the previous low point, meaning that cattle availability should be particularly tight. The USDA currently forecasts 2025 US cattle slaughtering to decline by an additional 4% YoY, or 11% below the 2022 peak and to reach the lowest since 2015.

Figure 15 - The retention phase has started in the US, but there is still a long way to go

Source: USDA, Bradesco BBI

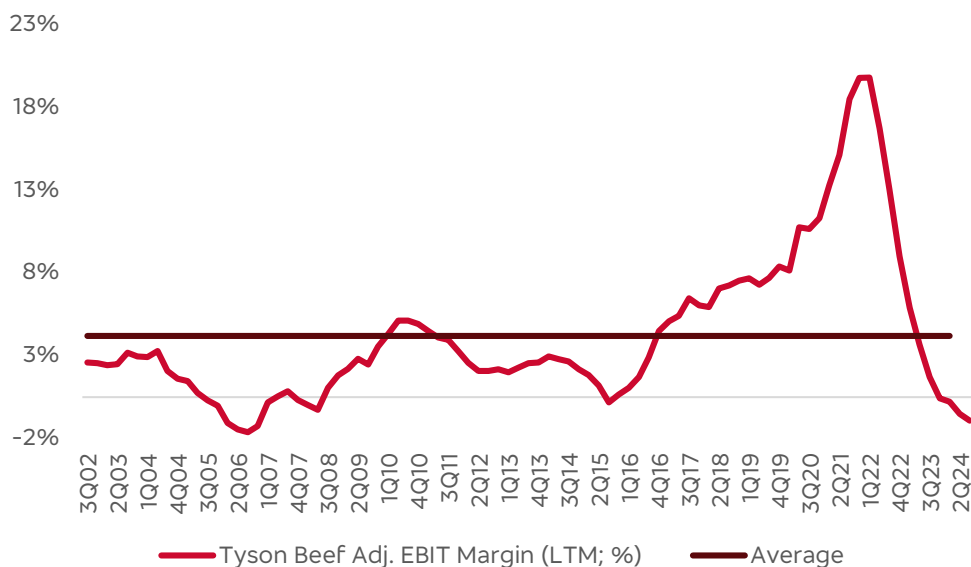
Figure 16 - US domestic beef spreads should have another tough year in 2025

Source: Bloomberg, Bradesco BBI

The combination of an already-compressed cattle herd with the beginning of a retention cycle creates the conditions for what may be one of the toughest cyclical downturns we

can think of. Nonetheless, with meatpackers acting as the middleman in the value chain, and having more than 80% of their costs made up of animal purchases, we also think there is a limit to how much results may suffer. For instance, since 2002, Tyson Foods' EBIT margin in its US beef business based on a 12-month rolling window has recovered quickly every time it reached a point at below breakeven (which is already the case this time around).

Figure 17 - Tyson's Beef EBIT margin historically does not stay below breakeven for long

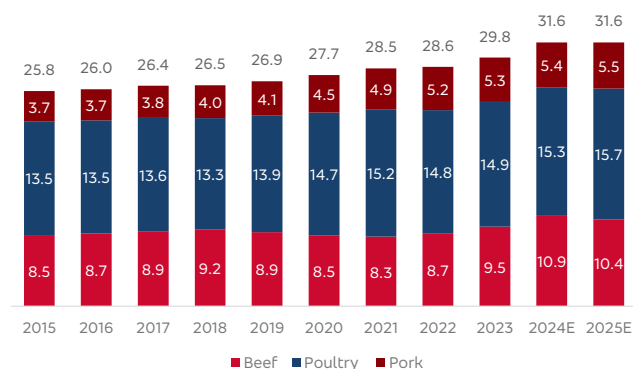


Source: Company Information, Bradesco BBI

Substitution Effect: Also Supportive of Poultry Prices

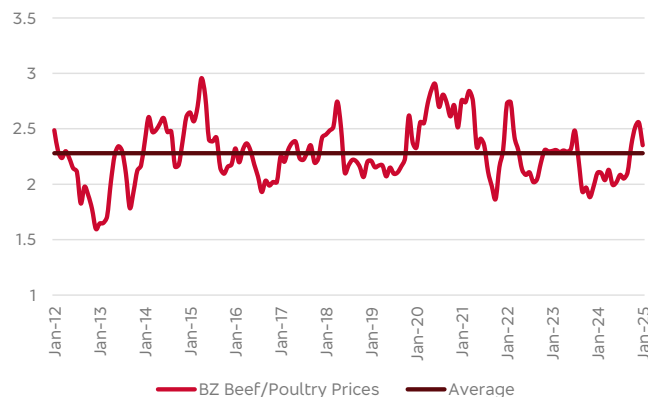
Substitution among proteins, and its impact on relative prices, is not necessarily as straightforward. Still, tightening beef supplies should help absorb additional poultry production that will eventually come to market. Currently, despite poultry prices rising by 22% and 26% in Brazil and the US over the course of 2024, respectively, the price ratio to beef remains roughly in line with the historical range. Given how beef supplies should tighten further, and prices could rise, we see this as another driver for the sustainability of strong poultry margins as we enter 2025.

Figure 18 - Total protein production in Brazil should come in flat at 31.6mn tons in 2025, with lower beef production offset by higher poultry and pork production (mn tons)



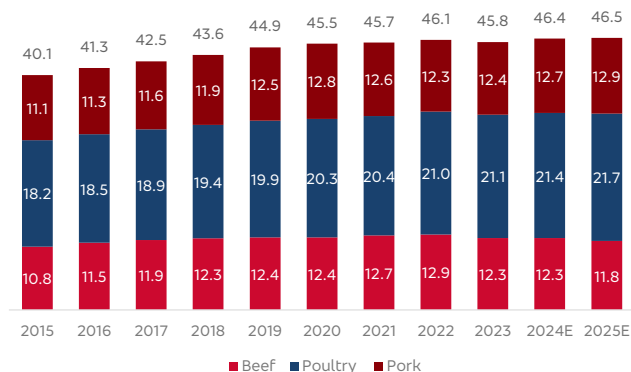
Source: Conab, Bradesco BBI

Figure 19 - Despite the spike in domestic poultry prices in Brazil, the ratio to beef prices is still slightly favorable relative to the historical average



Source: IEA and Bradesco BBI

Figure 20 - The US domestic protein supply should also be flat in 2025, with diminished beef availability offset by higher poultry and pork production (mn tons)



Source: USDA and Bradesco BBI

Figure 21 - In the US, the ratio between beef and poultry prices in the domestic market provides even greater support for poultry



Source: USDA and Bradesco BBI

Company Section

JBS: Low Risk, High Reward (OP, R\$48)

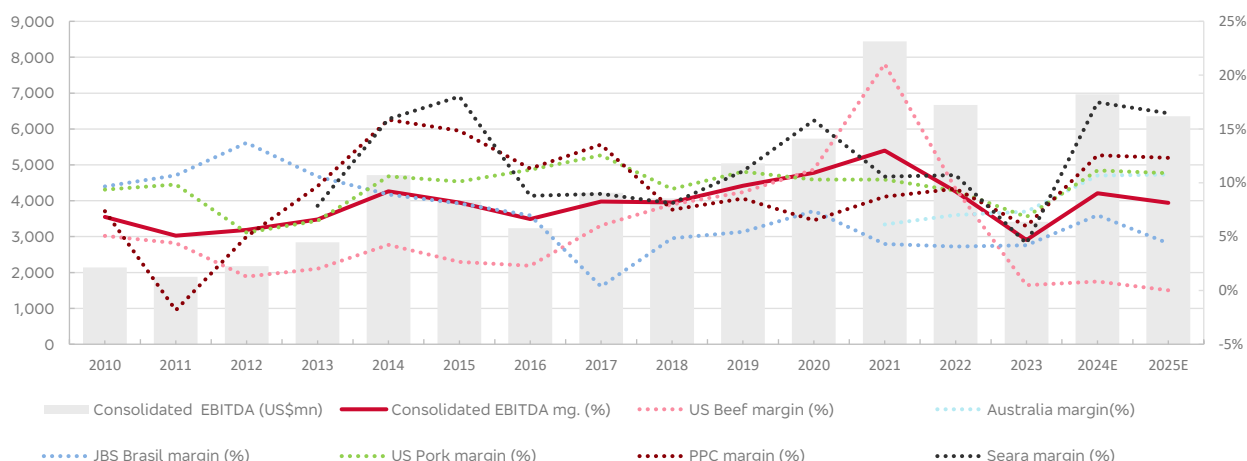
JBS offers a welcome defensive profile at a moment of increased domestic macro uncertainty, with ~74% of the company's revenues in operations outside of Brazil, and an additional ~14% stemming from Brazilian exports. In addition, only ~8% of its debt is exposed to interest rates in Brazil.

But we also expect results for the year to be strong, underpinned by the lingering strength in poultry margins and a weaker BRL, which leads us to raise our 2025E EBITDA to R\$38.3bn, or a 2% YoY expansion and 9% above consensus. In our view, this should translate into a 15% recurring FCFE yield, or a 6.7x P/E 25 that is at an unwarranted 31% discount to Brazilian peers. Our 2025E EBITDA margin of 8.1% also comes in line with the company's mid-cycle level, meaning that a long-term valuation anchor remains in place.

Lastly, the optionality of the US listing moving forward continues, and even if JBS is only able to narrow part of its valuation gap to Tyson from 46% to 23%, we estimate it would already imply 92% upside from current levels.

As we update our estimates, we increase our DCF-based YE25 TP to R\$48/sh (from R\$46/sh), implying 5.3x EV/EBITDA 25, and 9.3x P/E 25 at target. We reiterate JBS as our Top Pick in the protein space.

Figure 22 - We expect JBS to deliver a 2025E EBITDA margin of 8.1%, in line with its mid-cycle level, and translating into a 15% recurring FCFE yield



Source: Company Information, Bradesco BBI

Table 2 - JBS - US listing multiple re-rating scenarios*

Re-rating Scenarios	JBS	PPC	TSN	Smithfield
EV/EBITDA 2024 (US GAAP)	4.6	5.5	8.6	6.3
Implied JBSS3 share price (R\$/sh)	34.8	49.2	98.9	61.5
Upside Potential (%)	0%	41%	184%	77%

Source: Bradesco BBI |

*Based on 2024 estimated figures

Table 3 - JBS - New vs. Old Estimates

	Unit	2024					2025				
		New	Old	Chg (%)	Street	vs. Street	New	Old	Chg (%)	Street	vs. Street
Net Revenue	R\$ mn	415,246	405,679	2%	415,669	0%	470,238	403,167	17%	448,391	5%
EBITDA	R\$ mn	37,519	34,895	8%	37,070	1%	38,280	31,921	20%	35,180	9%
EBITDA margin	R\$ mn	9.0%	8.6%	0.4pp	8.9%	0.1pp	8.1%	7.9%	0.2pp	7.8%	0.3pp
Net Income	%	10,615	10,070	5%	10,594	0%	11,457	9,179	25%	11,289	1%

Source: Company Information, Bradesco BBI

Table 4 - JBS - Income Statement

Income Statement - R\$m	2023A	2024E	2025E	2026E
Net Revenue	363,816	415,246	470,238	477,475
COGS	-324,168	-353,307	-404,297	-414,264
Gross Profit	39,649	61,939	65,942	63,211
Gross Margin	10.9%	14.9%	14.0%	13.2%
SG&A	-34,347	-37,214	-41,230	-41,770
Operating Income	5,302	24,725	24,711	21,441
Operating Margin	1.5%	6.0%	5.3%	4.5%
Net Financial Results	-6,700	-9,369	-7,520	-6,872
Pre-tax Income	-1,398	15,356	17,192	14,570
Net Income	-1,061	10,142	11,518	9,956
Net Income Margin	-0.3%	2.4%	2.4%	2.1%
Net Income Adj.	-1,355	10,615	11,457	9,953
EBITDA Adj.	17,056	37,519	38,280	35,218
EBITDA Adj. Margin	4.7%	9.0%	8.1%	7.4%

Source: Company Information, Bradesco BBI

Table 5 - JBS - Balance Sheet

Balance Sheet - R\$m	2023A	2024E	2025E	2026E
Current Assets	78,605	88,103	87,310	88,416
Long Term Assets	17,285	16,028	16,028	16,028
Fixed Assets	110,242	118,906	118,906	119,594
PP&E	70,799	76,284	76,284	76,972
Total Assets	206,132	223,036	222,243	224,038
Total Liabilities	159,134	180,100	168,153	168,942
Minorities	3,647	4,942	4,942	4,942
Shareholders' Equity	43,351	37,995	49,149	50,154
Liabilities + Equity	206,132	223,036	222,243	224,038
Total Debt (IFRS16)	105,735	115,025	101,110	100,995
Cash & Equivalents	22,763	24,080	19,458	19,458
Net Debt	82,972	90,946	81,652	81,538
Net Debt/EBITDA	4.9x	2.4x	2.1x	2.3x

Source: Company Information, Bradesco BBI

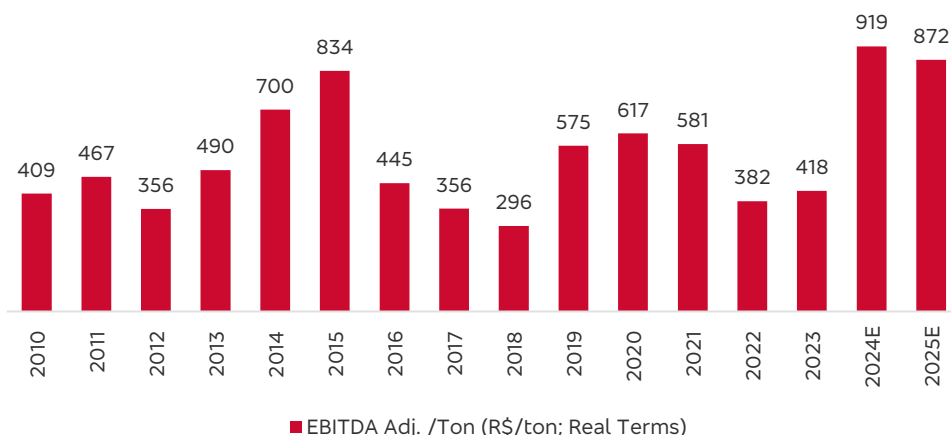
BRF: The Aftermath of Momentum - A Stronger Company, Priced In (N, R\$23)

There are many positives about BRF today: (i) the company should continue to benefit from a strong poultry cycle, (ii) previous execution pushbacks have been addressed, with BRF likely outperforming peers in 2024 and delivering its strongest margin on record, and (iii) the balance sheet is the strongest it has been in over 10 years, with a 1.3x 2024E leverage ratio (already including leases and FIDC), which is especially important amid the current interest rate environment.

Yet, we continue to believe that valuations could limit the upside potential depending on where margins eventually normalize. While we do believe the poultry cycle should remain favorable, we expect 2025 to be mostly about the carryover from strong 2H24 margins rather than an additional acceleration. We are raising our 2025E EBITDA to R\$11.2bn (+4% YoY), with a 16.8% margin (-110bps YoY), but see this translating into a 9.5% FCFE yield, which is certainly solid, but we fear may not be enough on its own to trigger a more upbeat view on the shares.

As we update our model, we maintain our Neutral rating and adjust our YE25 TP to R\$23/sh (from R\$24, given a 100bps higher Ke) based on a long-term EBITDA margin of 14.5%.

Figure 23 - The carryover from 2H24 should help BRF sustain strong margins in 2025, but additional acceleration seems unlikely



Source: Company Information, Bradesco BBI

Table 6 - BRF - New vs. Old Estimates

	Unit	2024					2025				
		New	Old	Chg (%)	Street	vs. Street	New	Old	Chg (%)	Street	vs. Street
Net Revenue	R\$ mn	60,249	59,573	1%	60,168	0%	66,431	61,067	9%	65,288	2%
EBITDA	R\$ mn	10,792	10,776	0%	10,806	0%	11,192	9,576	17%	10,025	12%
EBITDA margin	R\$ mn	17.9%	18.1%	-0.2pp	18.0%	0.0pp	16.8%	15.7%	1.2pp	15.4%	1.5pp
Net Income	%	3,639	4,023	-10%	4,113	-12%	3,580	3,190	12%	4,023	-11%

Source: Company Information, Bradesco BBI

Table 7 - BRF - Income Statement

Income Statement - R\$m	2023A	2024E	2025E	20262E
Net Revenue	54,197	60,249	66,431	68,848
COGS	-44,561	-44,093	-49,174	-52,567
Gross Profit	9,636	16,156	17,258	16,281
Gross Margin	17.8%	26.8%	26.0%	23.6%
SG&A	-8,801	-8,984	-9,776	-10,163
Operating Income	836	7,171	7,482	6,118
Operating Margin	1.5%	11.9%	11.3%	8.9%
Net Financial Results	-2,821	-2,258	-2,424	-1,864
Pre-tax Income	-1,985	4,913	5,058	4,255
Net Income	-2,029	3,736	3,593	3,045
Net Income Margin	-3.7%	6.2%	5.4%	4.4%
Net Income Adj.	-2,142	3,639	3,580	3,045
EBITDA Adj.	4,549	10,792	11,192	9,966
EBITDA Adj. Margin	8.4%	17.9%	16.8%	14.5%

Source: Company Information, Bradesco BBI

Table 8 - BRF - Balance Sheet

Balance Sheet - R\$m	2023A	2024E	2025E	20262E
Current Assets	27,420	29,830	31,655	32,689
Long Term Assets	8,220	7,707	7,312	6,980
Fixed Assets	22,706	24,150	24,706	24,783
PP&E	14,609	15,814	16,371	16,448
Total Assets	58,345	61,686	63,673	64,453
Total Liabilities	42,701	44,207	42,601	43,643
Minorities	720	1,123	1,123	1,123
Shareholders' Equity	14,923	16,356	19,949	19,687
Liabilities + Equity	58,345	61,686	63,673	64,453
Total Debt (IFRS16)	24,389	24,740	21,727	21,727
Cash & Equivalents	10,119	10,272	10,650	10,650
Net Debt	14,270	14,469	11,077	11,077
Net Debt/EBITDA	3.1x	1.3x	1.0x	1.1x

Source: Company Information, Bradesco BBI

Marfrig: US Beef Overhang to Offset Outperformance in Brazil (N, R\$19)

From the things that Marfrig can control, we also see some clear positives underway. In particular, we expect the strong top-line growth that the company delivered in South America throughout 2024 to continue this year as recent investments mature. We are modeling volumes in the division to be at 797k tons in 2024, and expect it to grow an additional 10% YoY in 2025. Along with higher beef prices, we believe 2025 revenues in South America could grow 31% YoY to R\$21bn. With that, we also see 2025 EBITDA in the division growing to R\$1.9bn (+15% YoY). Moreover, BRF has proven to be a far stronger company than it had been in years, and National Beef has continuously outperformed the industry in the US.

What we still struggle with is seeing the triggers that could lead Marfrig's shares to materially outperform. Marfrig's and BRF's equity stories are naturally intertwined, and,

although the investment in BRF has proven assertive, we are not yet in a position to bet that BRF's share price performance will accelerate much further from here. In addition, US beef margins are likely to continue struggling as cattle availability tightens further in 2025.

This should translate into higher near-term multiples for Marfrig (pro-forma 5.7x EV/EBITDA 2025, 16% above the sector's average), possibly limiting the triggers in a historically pro-cyclical sector. The long-term asymmetry appears favorable once the US cattle cycle improves and the pace of deleveraging intensifies, with BRF proving its capacity to sustain structurally higher margins. But, for now, we remain Neutral. We are updating model, with a new YE25 TP of R\$19/sh (from R\$17).

Table 9 - Marfrig Pro-Forma & Beef Standalone Multiples

Marfrig Proportional* (R\$mn)	2024E	2025E	2026E	2027E	2028E	2029E	2030E
EV/EBIT	9.4x	9.5x	9.8x	7.3x	7.0x	6.7x	6.5x
EV/EBITDA	5.9x	5.7x	5.8x	4.7x	4.5x	4.4x	4.2x
Marfrig Beef Standalone* (R\$mn)	2024E	2025E	2026E	2027E	2028E	2029E	2030E
EV/EBIT	17.4x	20.0x	13.5x	7.3x	7.1x	6.9x	6.7x
EV/EBITDA	8.6x	8.9x	7.4x	5.0x	4.9x	4.7x	4.6x

Source: Bradesco BBI

*Considers Marfrig's proportional stake in BRF and adjusts for National Beef minorities

Table 10 - Marfrig - New vs. Old Estimates

	Unit	New	Old	2024 Chg (%)	Street	vs. Street	New	Old	2025 Chg (%)	Street	vs. Street
Net Revenue	R\$ mn	142,581	139,313	2%	145,330	-2%	161,534	142,104	14%	157,870	2%
EBITDA	R\$ mn	13,744	13,419	2%	10,368	33%	14,271	12,232	17%	10,057	42%
EBITDA margin	R\$ mn	9.6%	9.6%	0.0pp	7.1%	2.5pp	8.8%	8.6%	0.2pp	6.4%	2.5pp
Net Income	%	1,873	2,205	-15%	1,219	54%	1,063	891	19%	208	411%

Source: Company Information, Bradesco BBI

Table 11 - Marfrig - Income Statement

Income Statement - R\$mn	2023A	2024E	2025E	2026E
Net Revenue	137,238	142,581	161,534	165,672
COGS	-119,749	-120,511	-137,718	-141,930
Gross Profit	17,489	22,070	23,816	23,742
Gross Margin	12.7%	15.5%	14.7%	14.3%
SG&A	-13,832	-13,461	-15,007	-15,493
Operating Income	3,657	8,609	8,808	8,250
Operating Margin	2.7%	6.0%	5.5%	5.0%
Net Financial Results	-6,182	-5,812	-4,998	-4,564
Pre-tax Income	-2,525	2,797	3,811	3,685
Net Income	175	1,873	1,063	1,092
Net Income Margin	0.1%	1.3%	0.7%	0.7%
EBITDA Adj.	8,921	13,744	14,271	13,882
EBITDA Adj. Margin	6.5%	9.6%	8.8%	8.4%

Source: Company Information, Bradesco BBI

Table 12 - Marfrig - Balance Sheet

Balance Sheet - R\$mn	2023A	2024E	2025E	2026E
Current Assets	49,716	54,103	55,646	55,951
Long Term Assets	13,521	13,447	13,052	12,721
Fixed Assets	68,924	65,198	65,755	66,010
PP&E	45,345	42,102	42,659	42,914
Total Assets	132,162	132,748	134,453	134,682
Total Liabilities	107,272	113,881	112,673	113,772
Minorities	17,259	17,641	21,234	20,971
Shareholders' Equity	7,631	1,227	547	-61
Liabilities + Equity	132,162	132,748	134,453	134,682
Total Debt (IFRS16)	61,467	59,890	56,443	56,443
Cash & Equivalents	21,986	17,169	15,038	14,178
Net Debt	39,481	42,721	41,405	42,265
Net Debt/EBITDA	4.4x	3.1x	2.9x	3.0x

Source: Company Information, Bradesco BBI

Agribusiness

Sector Snapshot: 3tentos Is Our Top Agri Pick

We do not yet see a new bull market getting under way for soybeans and cotton, but we at least believe that the downside is also looking more limited. The same is true for sugar, which should continue to see a structurally tighter global market, and ethanol, which we expect to be a net positive for S&E companies relative to previous years.

All of this, along with a weaker BRL, should make the Agribusiness sector defensive in 2025, with results growing across the board. In this environment, we see better asymmetry for both SLC (N, R\$22) and SMTO (N, R\$28), but we still believe there are risks to this year's results to be mitigated, while the carryover story based on short-term earnings should also not provide the triggers for material outperformance, in our view.

3tentos (OP, R\$21) is the name we favor the most, offering a defensive profile, but also boasting a unique growth story in our coverage universe, with an expected 2024-26 net income CAGR of 32%. The 7.9x P/E 26 is on par with the sector's average, which looks unwarranted as growth beyond that remains in place, and its ROIC should outpace the sector's average by more than 5p.p. by then.

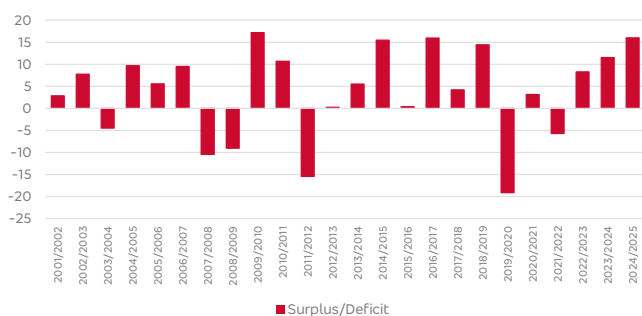
We also keep our Outperform ratings on smaller caps Boa Safra (OP, R\$15) and Jalles (OP, R\$8), and believe 2025 could prove an important de-risking year for both as Boa Safra ramps up sales volume along with its expanded production capacity, while Jalles benefits from a greater sugar mix and advances with the turnaround of SVA.

Grains & Cotton: The Worst Is Behind Us

The global S-D for soybean and cotton points to a relevant surplus in the 2024/25 crop, which should continue to limit triggers for another material price rally. The fact that Brazil has significantly expanded its soybean planted area in recent years and that it continues to expand the planted area for cotton could also mean that supplies may not tighten as much in the coming crop season as well.

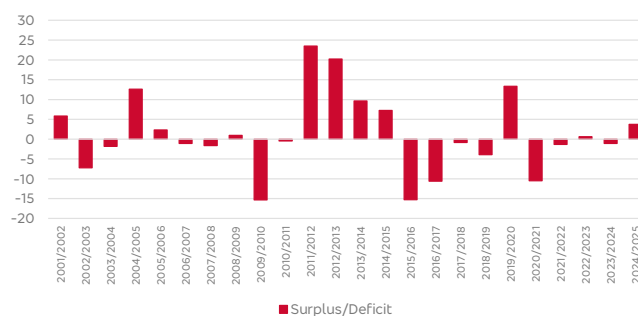
Still, further downside to prices is looking limited, with the USDA reducing its soybean 2024/25 estimated surplus to 16mn tons (from an initial 16.7mn tons), and market participants already factoring in a record crop in Brazil. In addition, increasing biodiesel blending in both Brazil and the US could foster crushing demand amid growing grain availability. And, as for cotton, prices already seem below production costs for many of the main producers, which could also limit supplies in the coming season and may restrict prices from deteriorating further. Risks to Brazil's cotton planted area in 2024/25 also seem to be in place.

Figure 24 - Soybean: 16mn tons surplus expected in 2024/25



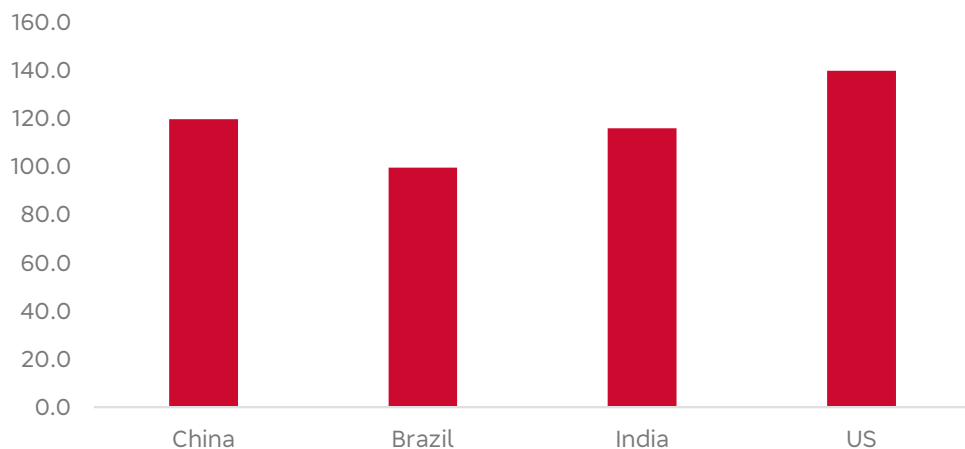
Source: WASDE, Bradesco BBI

Figure 25 - Cotton: 3.7mn bales surplus expected in 2024/25



Source: WASDE, Bradesco BBI

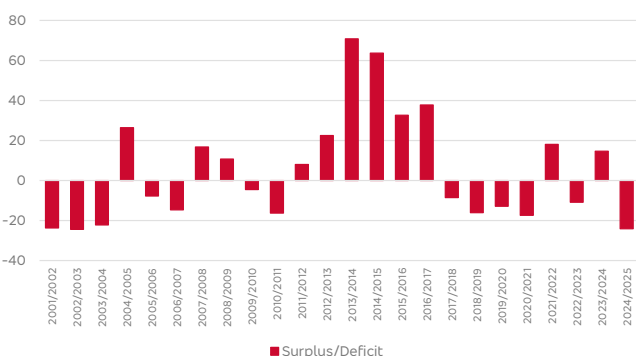
Figure 26 - Brazil has the lowest total cotton production cost, which could limit additional supply coming from other countries (c/lb)



Source: IMEA, USDA, Ministry of Agriculture & Farmers Welfare India, BeeData China, Bradesco BBI

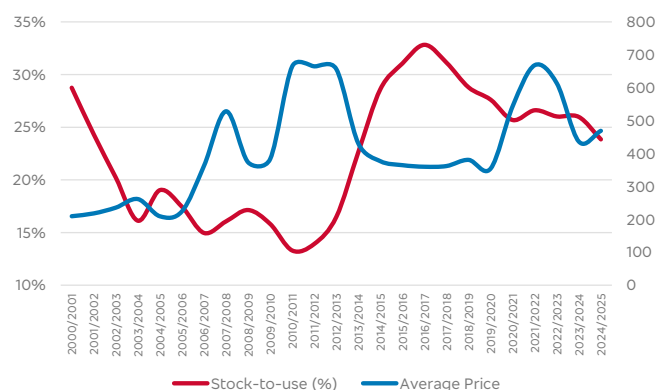
The outlook for corn is already more bullish for prices, with a 24mn-ton deficit expected in 2024/25 and the lowest stock-to-use ratio since 2013/14. In this environment, Brazil's 2nd corn crop should be especially important in determining prices and whether this could translate into resurging cost pressures for companies whose production costs depend upon it, in particular poultry, pork, and corn ethanol producers.

Figure 27 - Corn: 24mn tons deficit expected in 2024/25...



Source: WASDE, Bradesco BBI

Figure 28 - ... which brings the StU ratio to the lowest since 2013/14



Source: WASDE, Bradesco BBI

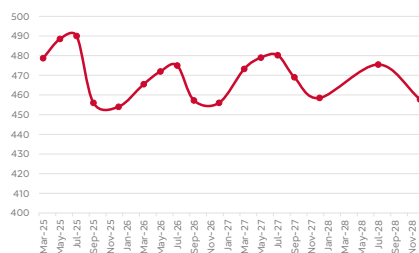
Future curves are no longer in backwardation, and this creates an opportunity for Brazilian farmers to hedge and lock in stronger margins based on the weaker BRL in a business where ~60% of production costs are directly dollarized.

Figure 29 - Soybean Futures (USDc/bu)



Source: Bloomberg, Bradesco BBI

Figure 30 - Corn Futures (USDc/bu)



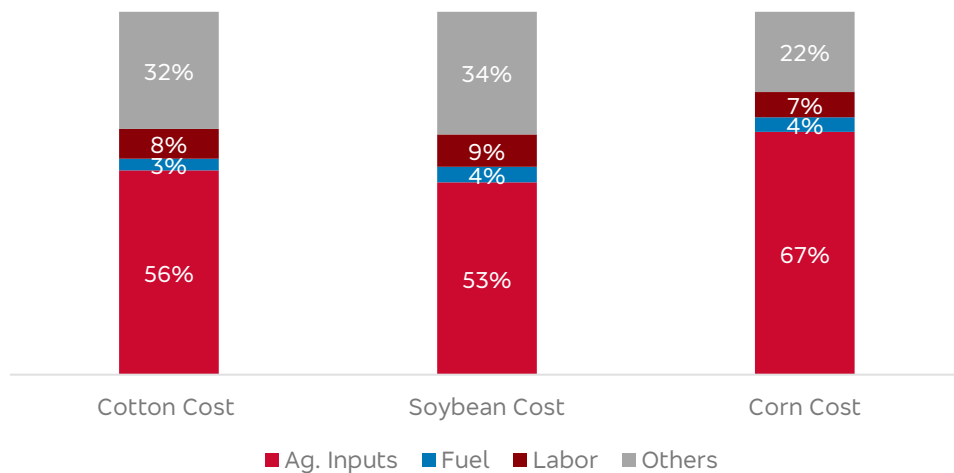
Source: Bloomberg, Bradesco BBI

Figure 31 - Cotton Futures (c/lb)



Source: Bloomberg, Bradesco BBI

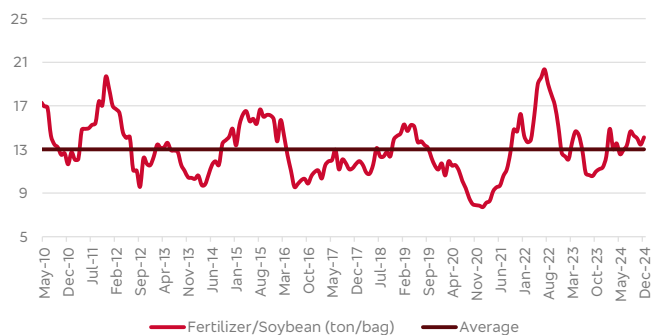
Figure 32 - About ~60% of cotton and soybean production costs are directly dollarized



Source: Company Information, Bradesco BBI

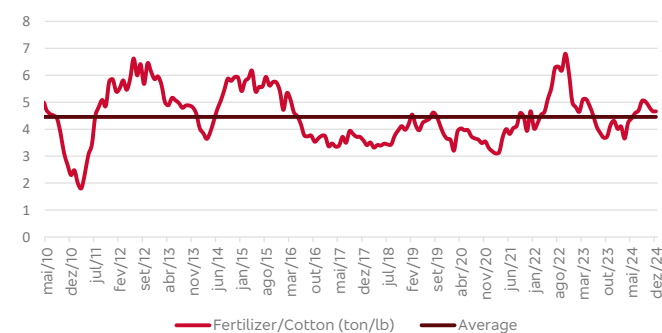
Based on the initial cost estimates for the 2025/26 season, we see farming margins improving YoY in Brazil, in addition to what should already be a better year in 2024/25.

Figure 33 - After peaking in 2022, fertilizer/soybean terms of trade has converged to historical levels...



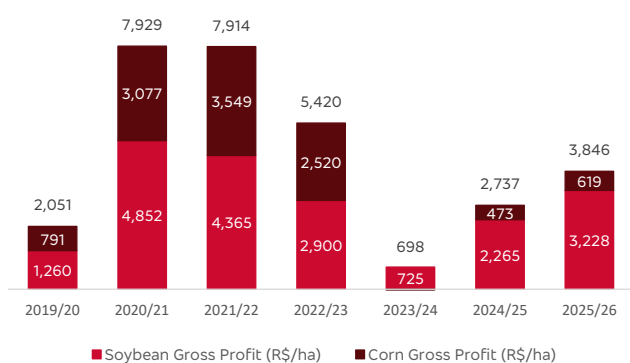
Source: Bloomberg, Bradesco BBI

Figure 34 - .. and this is the same in the case of cotton



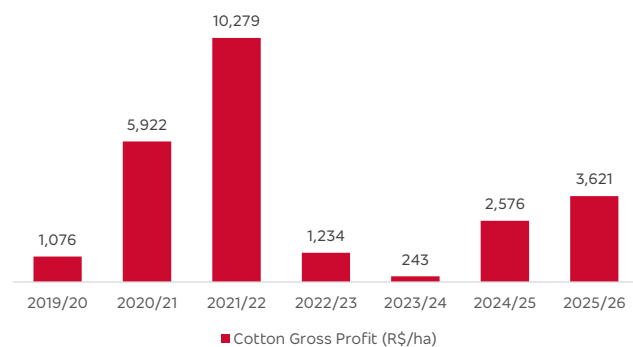
Source: Bloomberg, Bradesco BBI

Figure 35 - Initial cost estimates for 2025/26 suggest an additional profitability improvement for soybean and corn



Source: IMEA, Bradesco BBI

Figure 36 - Cotton profitability should also improve from already better results in 2024/25

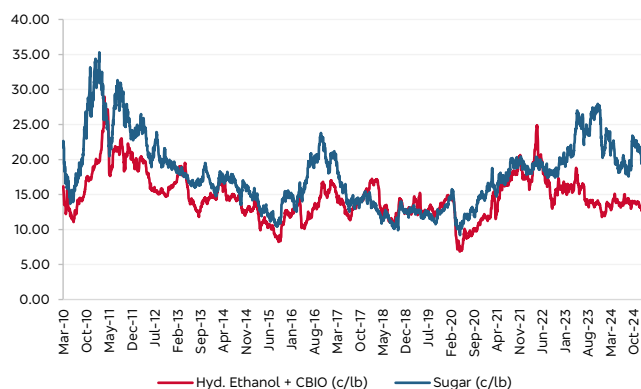


Source: IMEA, Bradesco BBI

Sugar & Ethanol: At a Healthy Run Rate

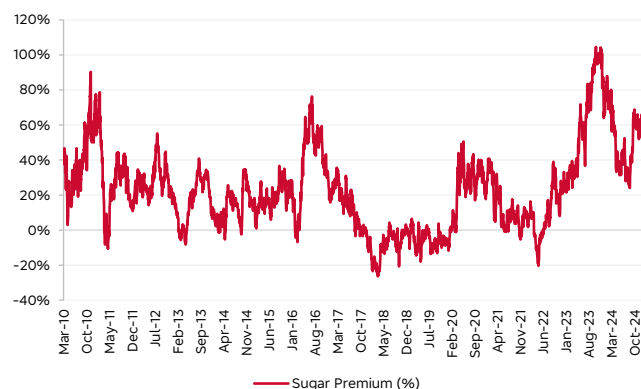
We continue to see a structurally tighter sugar market. Ultimately, Brazil has not expanded its sugarcane planted area in more than 10 years, the current 34% sugar price premium to ethanol in the country is unlikely to trigger investments to further expand the sugar production mix, India is following through on its increased blending mandates, and the global demand continues to grow steadily at ~2-3mn tons (1%-2%) per year.

Figure 37 - Brazil Sugar & Ethanol price parity (c/lb)



Source: Bloomberg, Bradesco BBI

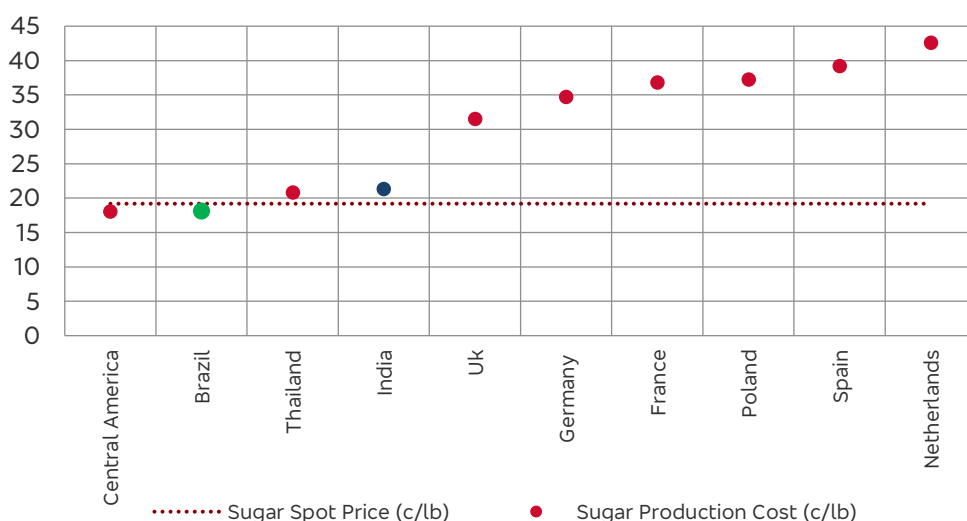
Figure 38 - The current 34% sugar price premium to ethanol may not trigger additional capacity expansions



Source: Bloomberg, Bradesco BBI

We were admittedly surprised by the 17% correction in USD-denominated sugar prices over the past 4 months given Brazil being the world's low-cost producer of sugar, and current prices most likely not incentivizing any additional expansion in the country's sugar production capacity. The spot price of c19.5/lb is also below production costs for many of the main producers, except for Brazil.

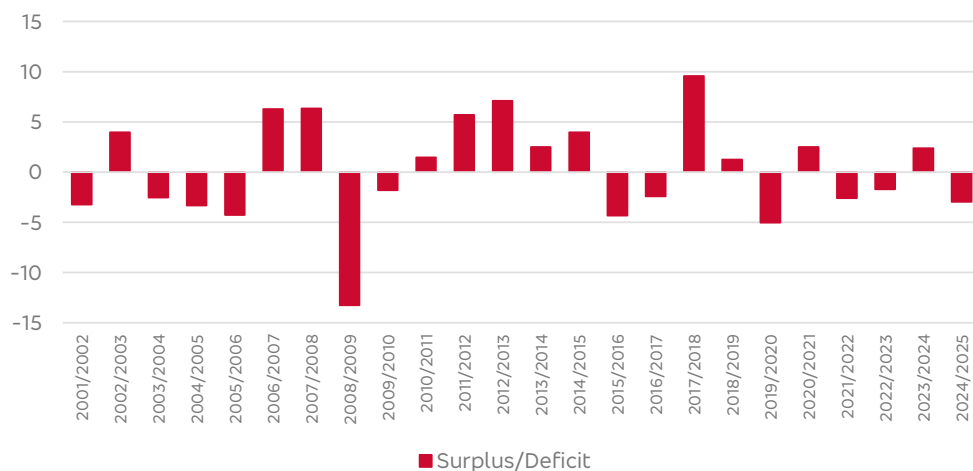
Figure 39 - The spot sugar price of c19.5/lb is below production cost for most of the main producers



Source: CzApp, Bradesco BBI

So the mid-term asymmetry on sugar prices looks positive, but our sense is that this could take a while to materialize. With favorable weather across Brazil's Center-South region so far, initial estimates for the 2025/26 sugarcane crop point to a flattish YoY ~620mn tons of crushing in the region, despite the impacts from the drought and fires in the previous season. If the sugar production mix is able to reach the ~51.5% that was expected for the prior season, total production from Brazil could increase by ~2.7mn tons and make the short-term S-D relatively less tight.

Figure 40 - The USDA is currently forecasting a global sugar deficit of 3mn tons in 2024/25, but Brazil increasing its sugar production in the upcoming season could make the short-term S-D relatively less tight (mn tons)

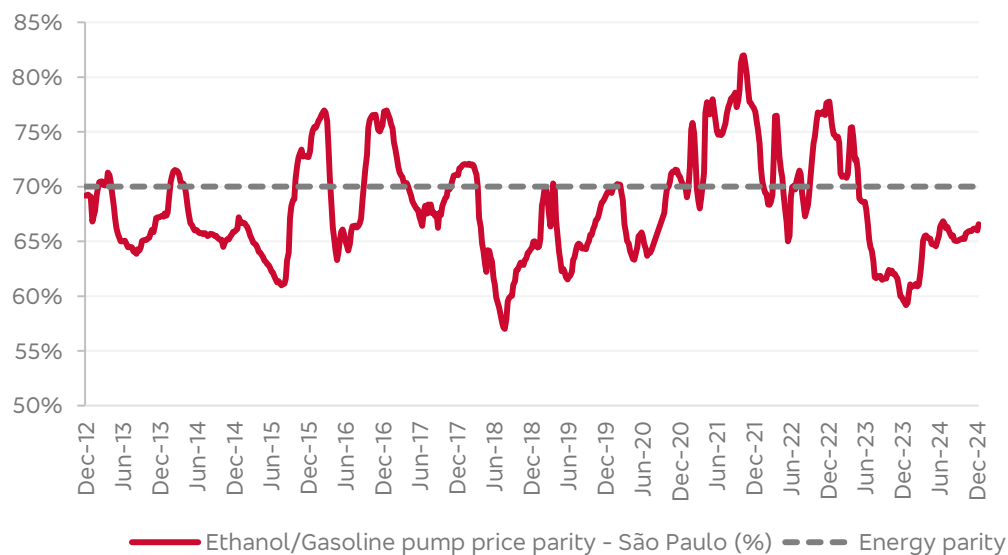


Source: WASDE, Bradesco BBI

As for ethanol, we believe that the asymmetry is more positive. The current hydrous ethanol mill gate price in São Paulo state of R\$2.9/liter is already 11% (or R\$0.29/liter) above the 2023/24's season average, and we still see it as a likely floor for the upcoming crop year, given:

- 1) The hydrous ethanol pump price parity to gasoline remains at 67% in São Paulo state, below the ~70% energy parity.

Figure 41 - Despite spot ethanol prices being 11% above the 2023/24's season average, the pump price parity to gasoline remains at 67%



Source: ANP, Bradesco BBI

- 2) Gasoline prices should increase by R\$0.10/liter from February 2025 onwards due to the new ICMS *ad rem* rate of R\$1.47/liter, which, all else equal, would bring the hydrous ethanol pump price parity down to 66% (or a R\$0.06/liter upside to prices for the current 67% pump parity to be maintained); and

Table 13 - Hydrous Ethanol Price: New gasoline ad rem ICMS + 67% pump price parity = ethanol at R\$2.99/liter (+R\$0.06 vs. spot)

Gasoline C - Price Build-Up		
Gasoline A	R\$/l	2.20
Anhydrous Ethanol	R\$/l	0.87
Gasoline C - Pre Tax	R\$/l	3.06
CIDE	R\$/l	0.07
PIS/Cofins	R\$/l	0.61
ICMS	R\$/l	1.47
Distribution & Resale	R\$/l	0.90
Gasoline C - Pump Price	R\$/l	6.12
Hydrous Ethanol - Price Build-Up		
Hyd. Ethanol - Pre Tax	R\$/l	2.99
PIS/Cofins	R\$/l	0.24
ICMS	R\$/l	0.47
Distribution & Resale	R\$/l	0.40
Hyd. Ethanol - Pump Price	R\$/l	4.10
Ethanol Price Parity	%	67.0%

Source: ANP, Cepea, Abicom, Confaz, Bloomberg, Bradesco BBI

3) Brazil's gasoline prices are at a ~5% discount to IPP, and, if fully adjusted, this would mean an additional R\$0.08/liter upside to hydrous ethanol prices at the mill (assuming a constant 67% parity at the pump). This, added to the imminent hike in gasoline ICMS, would mean a hydrous ethanol price of R\$3.07/liter (~R\$0.14/liter above spot) in order to support the same 67% pump price parity.

Table 14 - Hydrous Ethanol Price: Gasoline at IPP + New gasoline ad rem ICMS + 67% pump price parity = ethanol at R\$3.07/liter (+R\$0.14 vs. spot)

Gasoline C - Price Build-Up		
Gasoline A - IPP	R\$/l	2.32
Anhydrous Ethanol	R\$/l	0.87
Gasoline C - Pre Tax	R\$/l	3.19
CIDE	R\$/l	0.07
PIS/Cofins	R\$/l	0.61
ICMS	R\$/l	1.47
Distribution & Resale	R\$/l	0.90
Gasoline C - Pump Price	R\$/l	6.24
Hydrous Ethanol - Price Build-Up		
Hyd. Ethanol - Pre Tax	R\$/l	3.07
PIS/Cofins	R\$/l	0.24
ICMS	R\$/l	0.47
Distribution & Resale	R\$/l	0.40
Hyd. Ethanol - Pump Price	R\$/l	4.18
Ethanol Price Parity	%	67.0%

Source: ANP, Cepea, Abicom, Confaz, Bloomberg, Bradesco BBI

While the visibility on if/when domestic gasoline prices will end up being adjusted is low, the previous points should at least prevent ethanol from being an overhang to S&E companies' results as during the previous years. In the near term, pump prices may at least trend towards a parity with gasoline, given falling inventories during the off-season for sugarcane crushing in the Center-South region and an expected tight stock-to-use at the end of the 2024/25 crop.

Table 15 - Hydrous Ethanol Price: New gasoline ad rem ICMS + 70% pump price parity = ethanol at R\$3.17/liter (+R\$0.24 vs. spot)

Gasoline C - Price Build-Up		
Gasoline A	R\$/l	2.20
Anhydrous Ethanol	R\$/l	0.87
Gasoline C - Pre Tax	R\$/l	3.06
CIDE	R\$/l	0.07
PIS/Cofins	R\$/l	0.61
ICMS	R\$/l	1.47
Distribution & Resale	R\$/l	0.90
Gasoline C - Pump Price	R\$/l	6.12

Hydrous Ethanol - Price Build-Up		
Hyd. Ethanol - Pre Tax	R\$/l	3.17
PIS/Cofins	R\$/l	0.24
ICMS	R\$/l	0.47
Distribution & Resale	R\$/l	0.40
Hyd. Ethanol - Pump Price	R\$/l	4.28

Ethanol Price Parity	%	70.0%
-----------------------------	----------	--------------

Source: ANP, Cepea, Abicom, Confaz, Bloomberg, Bradesco BBI

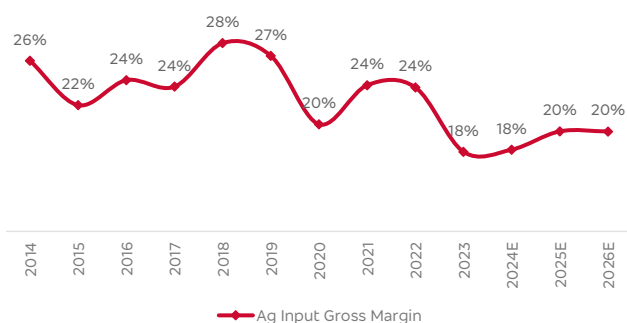
Company Section

3tentos: Compounder at the Core, Defensive at the Base (OP, R\$21)

We see 3tentos gearing up for a strong 2025, with EBITDA that should expand by 27% YoY to R\$1.2bn (18% above our previous estimate and 10% above consensus), and adj. net income growing at 25% YoY to R\$722mn (20% above our previous estimate and 8% above consensus).

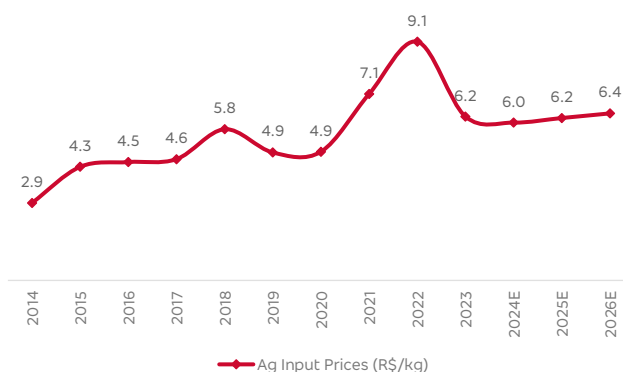
In the ag input retail segment, we believe that the ~17.8% margin achieved in 2024E should prove to be an easy comp, as the sales mix improves with seed production in Rio Grande do Sul state recovering, and a more normalized farmers' selling pace driving an overall more rational competitive landscape. The BRL's devaluation should also provide some tailwinds for top-line performance in the division.

Figure 42 - 3tentos' Retail margins should improve in 2025 on better prices and sales mix



Source: Company Information, Bradesco BBI

Figure 43 - A devaluated BRL should translate into better nominal ag. input prices



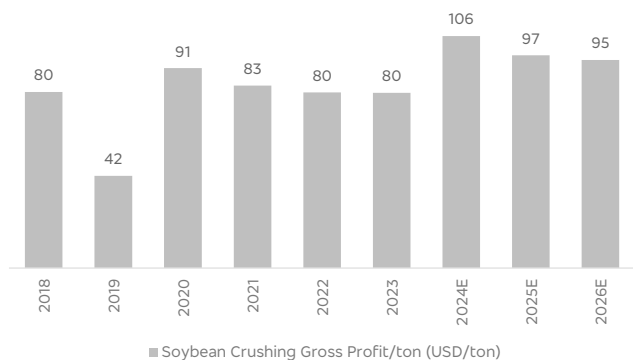
Source: Company Information, Bradesco BBI

In addition, soybean crushing margins seem set to remain strong with biodiesel blending expanding to B15 (from B14) in what is shaping up to be a strong soybean crop supporting a favorable environment for feedstock origination.

We assume that the unit gross profit in the Industry division should drop 8% YoY to US \$97/ton in 2025, which would still come in 10% above the 5-year average but that we believe should also reflect the new production footprint in Mato Grosso state. As a sanity check, the estimated 2025E's operational margin (i.e., gross profit minus logistics expenses) for the

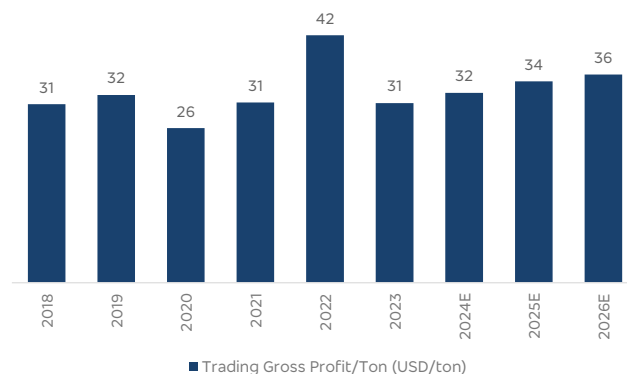
combined Industry and Trading business units of US\$31/ton is still 32% below the 5-year average.

Figure 44 - We conservatively assume the unit gross profit in the industry division to drop 8% YoY in 2025 (USD/ton)



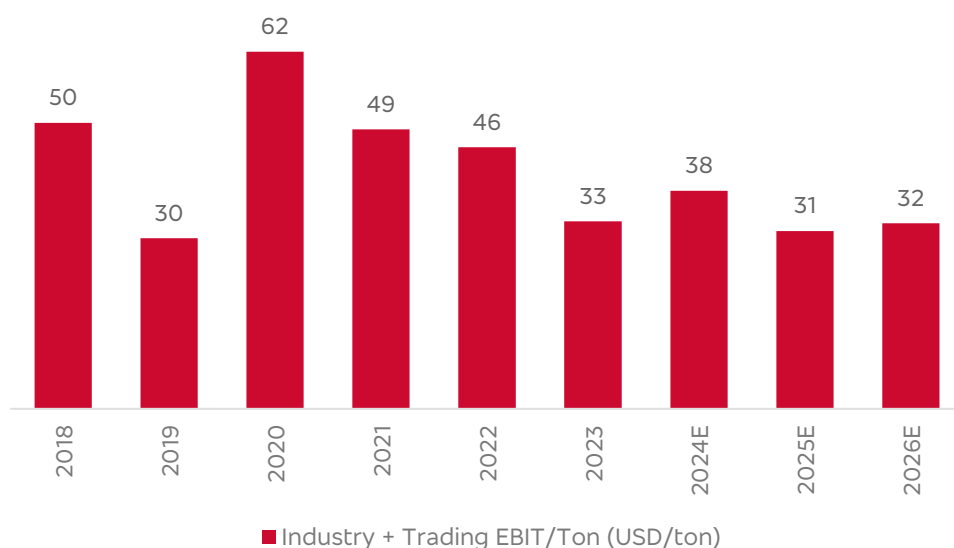
Source: Company Information, Bradesco BBI

Figure 45 - In the trading division, we expect unit gross profit to grow 6% YoY in 2025 (USD/ton)



Source: Company Information, Bradesco BBI

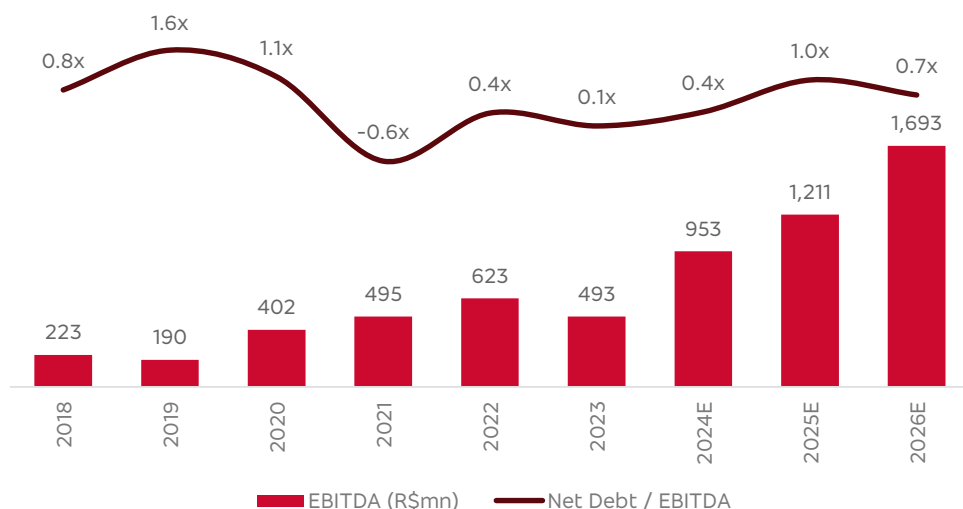
Figure 46 - Despite strong results expected for 3tentos in 2025, our estimated operational margin (i.e., gross profit minus logistics expenses) in USD/ton for the combined Industry and Trading business units is still 32% below the 5-year average



Source: Company Information, Bradesco BBI

The company will navigate the peak of its investment cycle in 2025 with a leverage ratio that should remain rather comfortable at 1x. Moreover, in 2026, when most of the current investment cycle comes online, we expect EBITDA and net income to grow by an additional 40% and 39% YoY, respectively. Thus, this means that the 11x P/E 25 multiple we see 3tentos trading at would drop to 7.9x P/E 26, which is on par with the sector average even as growth beyond that remains very much in place. ROIC by then should also exceed the sector by over 5p.p.

Figure 47 - Despite navigating the peak of its investment cycle in 2025, leverage that should remain comfortable at 1x



Source: Company Information, Bradesco BBI

3tentos has a defensive profile for the current environment, operating in a sector that is likely to be mostly shielded from a domestic economic slowdown, being a net beneficiary of a weaker BRL, and boasting a strong balance sheet to prevent higher interest rates from taking a disproportional toll on the bottom line. Still, it also offers a growth profile that is unmatched in our coverage universe, with a proven business model that has faced several of its key overhangs in recent years.

We are updating our model and raising our YE25 TP to R\$21/sh (from R\$20). We reiterate our Outperform rating.

Table 16 - 3tentos - New vs. Old Estimates

	Unit	New	Old	2024 Chg (%)	Street	vs. Street	New	Old	2025 Chg (%)	Street	vs. Street
Net Revenue	R\$ mn	11,978	11,666	3%	12,032	0%	16,584	14,650	13%	16,239	2%
EBITDA	R\$ mn	953	847	13%	953	0%	1,211	1,028	18%	1,101	10%
EBITDA margin	R\$ mn	8.0%	7.3%	0.7pp	9.9%	-1.9pp	7.3%	7.0%	0.3pp	6.8%	0.5pp
Net Income	%	598	553	8%	694	-14%	722	602	20%	666	8%

Source: Company Information, Bradesco BBI

Table 17 - 3tentos - Income Statement

Income Statement - R\$m	2023A	2024E	2025E	2026E
Net Revenue	8,999	11,978	16,584	20,797
COGS	-7,769	-9,958	-13,822	-17,297
Change in fair value	16	411	0	0
Gross Profit	1,246	2,431	2,761	3,500
Gross Margin	13.8%	20.3%	16.7%	16.8%
SG&A	-804	-1,193	-1,674	-1,974
Operating Income	442	1,238	1,087	1,526
Operating Margin	4.9%	10.3%	6.6%	7.3%
Net Financial Results	-13	-73	-147	-189
Pre-tax Income	429	1,165	940	1,337
Net Income	574	858	722	1,003
Net Income Margin	6.4%	7.2%	4.4%	4.8%
Net Income Adj.	575	598	722	1,003
EBITDA Adj.	493	953	1,211	1,693
EBITDA Adj. Margin	5.5%	8.0%	7.3%	8.1%

Source: Company Information, Bradesco BBI

Table 18 - 3tentos - Balance Sheet

Balance Sheet - R\$m	2023A	2024E	2025E	2026E
Current Assets	4,422	5,447	6,230	7,460
Long Term Assets	477	312	312	312
Fixed Assets	1,985	2,761	3,705	4,047
PP&E	1,985	2,756	3,700	4,042
Total Assets	6,884	8,520	10,247	11,818
Total Liabilities	3,532	4,356	5,360	6,102
Minorities	0	0	0	0
Shareholders' Equity	3,352	4,164	4,886	5,716
Liabilities + Equity	6,884	8,520	10,247	11,818
Total Debt (IFRS16)	1,292	1,988	1,985	1,985
Cash & Equivalents	1,226	1,600	730	730
Net Debt	66	388	1,256	1,256
Net Debt/EBITDA	0.1x	0.4x	1.0x	0.7x

Source: Company Information, Bradesco BBI

Boa Safra: It's All About Commercial Execution (OP, R\$15)

We see 2025 as a key year to prove Boa Safra's equity story. In 2024, the company faced: (i) production constraints that impacted its total sales volumes—that we now see at 163k big

bags, or 18% below initial expectations, (ii) the disruption of part of its distribution channel that was based on the larger ag input retailers, and (iii) a delayed farmers' selling and thus origination of ag inputs for the 2024/25 crop. As a result, we are reducing our 2024E EBITDA and adj. net income expectations to R\$236mn (-23%) and R\$125mn (-46%), respectively, as we also conservatively embed 6% lower YoY soybean seed prices into our numbers.

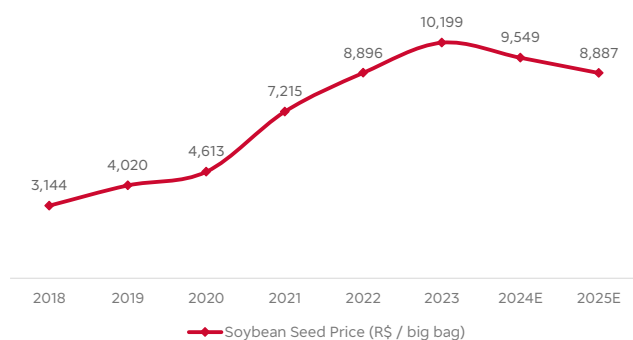
However, in 2025, the company's soybean seed production volume should reach 280k big bags, in line with the goal of achieving 360k big bags by 2027 and representing a sharp ~40% YoY expansion from the weaker 2024. Boa Safra's asset-light business model thrives based on the company's capacity to maximize turnover and minimize discarded volumes through elevated service levels and penetration in the retail channel, so 2025 should be a true testament of the company's commercial execution capacity.

Boa Safra's execution track record has spoken for itself, but given the sharp growth pace from an impacted 2024 and the need to enhance its distribution footprint, we are adopting more conservative estimates for 2025, which include: (i) soybean seed sales volume at 219k big bags (+34% YoY, and implying a 78% discarded rate vs. 81% over the past 4 years), (ii) a soybean seed gross price of R\$8.9k/big bag (-7% YoY), and (iii) an EBITDA margin of 12.6% (in line with the 4-year average). In recent years, the company has also leveraged on its balance sheet to provide credit solutions to retailers as an additional tool to gain penetration, and we believe this may prove even more the case in 2024. Thus, working capital dynamics throughout 2025 as sales volumes grow should be another key point to watch.

Even as we trim our 2025 net income expectation by 35% to R\$161mn (in good part due to higher CDI rates), after the recent underperformance, we see Boa Safra trading at 8.7x P/E 2025, in line with the agribusiness sector despite a higher growth and ROIC profile. And even based on the impacted P/E 2024, we also see Boa Safra trading in line with the sector average. Given how seasonal the company's results are, we fear that triggers may be limited until greater visibility is achieved on the sales performance in 2025. Still, we believe valuations provide a favorable asymmetry for a company who has so far followed and delivered on pretty much all of its IPO promises.

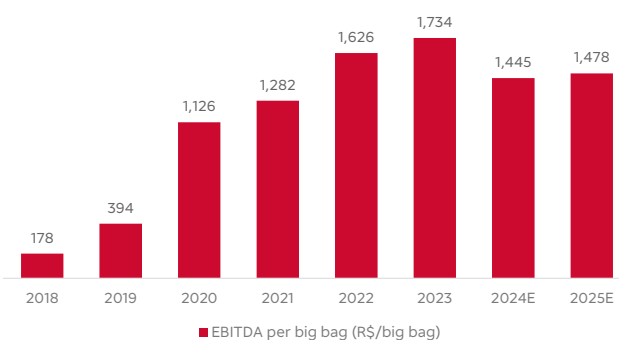
We are reducing our TP to R\$15/sh (from R\$20), as we incorporate new macro assumptions (including a 100bps higher Ke) and more conservative margins and invested capital figures. We keep our Outperform rating as current valuations along with a potential de-risking throughout this year continue to make for a favorable asymmetry.

Figure 48 - Soybean seed prices should fall 7% YoY in 2025



Source: Company Information, Bradesco BBI

Figure 49 - We expect profitability to be sustained even as production volumes expand 40% YoY in 2025



Source: Company Information, Bradesco BBI

Table 19 - Boa Safra - New vs. Old Estimates

	Unit	2024					2025				
		New	Old	Chg (%)	Street	vs. Street	New	Old	Chg (%)	Street	vs. Street
Net Revenue	R\$ mn	2,013	2,256	-11%	2,132	-6%	2,568	2,736	-6%	2,859	-10%
EBITDA	R\$ mn	236	306	-23%	259	-9%	324	383	-15%	381	-15%
EBITDA margin	R\$ mn	11.7%	13.6%	-1.8pp	9.9%	1.9pp	12.6%	14.0%	-1.4pp	13.3%	-0.7pp
Net Income	%	125	231	-46%	200	-37%	161	247	-35%	261	-38%

Source: Company Information, Bradesco BBI

Table 20 - Boa Safra - Income Statement

Income Statement - R\$m	2023A	2024E	2025E	2026E
Net Revenue	2,079	2,013	2,568	2,887
COGS	-1,771	-1,688	-2,170	-2,428
Gross Profit	308	325	397	458
Gross Margin	14.8%	16.2%	15.5%	15.9%
SG&A	-55	-88	-98	-107
Operating Income	253	238	300	351
Operating Margin	12.2%	11.8%	11.7%	12.2%
Net Financial Results	1	30	-28	-26
Pre-tax Income	254	268	272	325
Net Income	302	157	161	195
Net Income Margin	14.5%	7.8%	6.3%	6.8%
Net Income Adj.	327	125	161	195
EBITDA Adj.	284	236	324	379
EBITDA Adj. Margin	13.7%	11.7%	12.6%	13.1%

Source: Company Information, Bradesco BBI

Table 21 - Boa Safra - Balance Sheet

Balance Sheet - R\$m	2023A	2024E	2025E	2026E
Current Assets	1,549	1,714	1,911	1,996
Long Term Assets	142	128	114	92
Fixed Assets	667	818	883	949
PP&E	665	817	881	947
Total Assets	2,359	2,660	2,908	3,037
Total Liabilities	886	666	773	813
Minorities	0	0	0	0
Shareholders' Equity	1,473	1,994	2,135	2,224
Liabilities + Equity	2,359	2,660	2,908	3,037
Total Debt (IFRS16)	864	710	710	710
Cash & Equivalents	585	244	234	234
Net Debt	279	466	477	477
Net Debt/EBITDA	1.0x	2.0x	1.5x	1.3x

Source: Company Information, Bradesco BBI

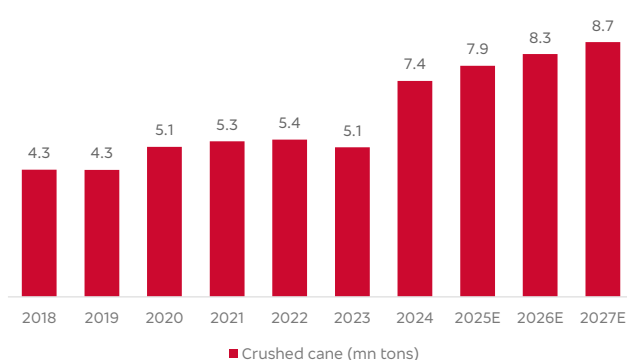
Jalles: Heading for a Stronger Year, with More Sugar and Cane (OP, R\$8)

We continue to see Jalles as offering a compelling growth story in the Brazilian S&E space, despite the 2024/25 crop miss (see [here](#)), when total sugarcane crushing reached 7.9mn tons (-4% vs. guidance) and the sugar production totaled 448k tons (-20% vs. guidance) with a 44.6% mix (-6p.p. vs. guidance).

In our view, 2025/26 should prove stronger, with recovering yields in the Santa Vitória unit (weather has been favorable during the off-season) and the total sugar production reaching the ~620k tons (55.8% mix) that the company already invested to achieve. While consolidated unit production costs are not yet at Jalles's historical benchmark levels given the ongoing turnaround of USV, a higher sugar mix should help to keep results growing, and not to mention the favorable YoY contribution from ethanol prices.

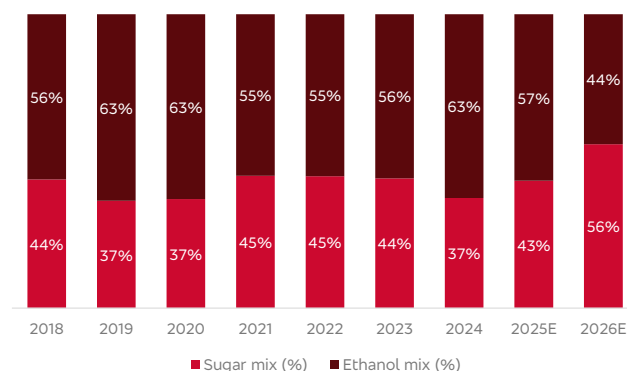
In addition, Jalles has 75% of its expected 2025/26 sugar production hedged at R\$2.4k/ton (VHP equivalent), which should protect it from current uncertainties on how prices will behave during the season (spot sugar price is at R\$2.5k/ton, but futures imply lower figures ahead).

Figure 50 - Jalles should grow sugar cane crushing to 8.3mn tons in 2025/26



Source: Company Information, Bradesco BBI

Figure 51 - We also expect sugar mix to continue to increase with the ramp up of its Santa Vitoria mill



Source: Company Information, Bradesco BBI

Our FY2026 EBITDA estimate is down by a mild 4% to R\$1.7bn (still +16% YoY), as we assume sugarcane crushing of 8.3mn tons (3% below our previous call) given the weaker 2024/25 crop. We also expect an earnings CAGR of 31% between FY2026-28, which would put Jalles at a 37% discount to SMTO based on bottom-line multiples by then. All in all, we are keeping our Outperform rating, while reducing our FY26 TP to R\$8/sh (from R\$10) given a 130bps higher Ke.

Table 22 - Jalles - New vs. Old Estimates

	Unit	2025					2026				
		New	Old	Chg (%)	Street	vs. Street	New	Old	Chg (%)	Street	vs. Street
Net Revenue	R\$ mn	2,335	2,430	-4%	2,394	-2%	2,669	2,588	3%	2,667	0%
EBITDA	R\$ mn	1,461	1,685	-13%	1,559	-6%	1,700	1,777	-4%	1,689	1%
EBITDA margin	R\$ mn	62.6%	69.3%	-6.8pp	9.9%	52.7pp	63.7%	68.7%	-4.9pp	63.3%	0.4pp
Net Income	%	95	138	-31%	240	-61%	199	253	-21%	296	-33%

Source: Company Information, Bradesco BBI

Table 23 - Jalles - Income Statement

Income Statement - R\$mn	2024A	2025E	2026E	2027E
Net Revenue	1,909	2,335	2,669	2,808
COGS	-1,557	-1,696	-1,843	-1,963
Change in Fair Value	181	108	0	0
Gross Profit	533	747	826	845
Gross Margin	27.9%	32.0%	30.9%	30.1%
SG&A	-172	-158	-199	-192
Operating Income	362	589	627	653
Operating Margin	18.9%	25.2%	23.5%	23.3%
Net Financial Results	-334	-515	-402	-322
Equity Income	13	23	24	25
Pre-tax Income	41	97	248	356
Net Income	85	95	199	285
Net Income Margin	4.5%	4.1%	7.4%	10.1%
EBITDA Adj.	997	1,461	1,700	1,797
EBITDA Adj. Margin	52.2%	62.6%	63.7%	64.0%
EBITDA Adj. ex-IFRS16	753	1,205	1,419	1,498
EBITDA Adj. Margin (ex-IFRS16)	39.5%	51.6%	53.2%	53.3%

Source: Company Information, Bradesco BBI

Table 24 - Jalles - Balance Sheet

Balance Sheet - R\$mn	2024A	2025E	2026E	2027E
Current Assets	2,120	2,875	2,966	2,992
Long Term Assets	337	323	323	323
Fixed Assets	4,245	4,304	4,426	4,529
PP&E	4,155	4,206	4,329	4,431
Total Assets	6,702	7,502	7,715	7,844
Total Liabilities	4,627	5,347	5,361	5,373
Minorities	0	0	0	0
Shareholders' Equity	2,075	2,155	2,353	2,471
Liabilities + Equity	6,702	7,502	7,715	7,844
Total Debt (IFRS16)	4,016	4,490	4,490	4,490
Cash & Equivalents	1,067	1,762	1,806	1,806
Net Debt	2,949	2,728	2,684	2,684
Net Debt/EBITDA	3.9x	2.3x	1.9x	1.8x

Source: Company Information, Bradesco BBI

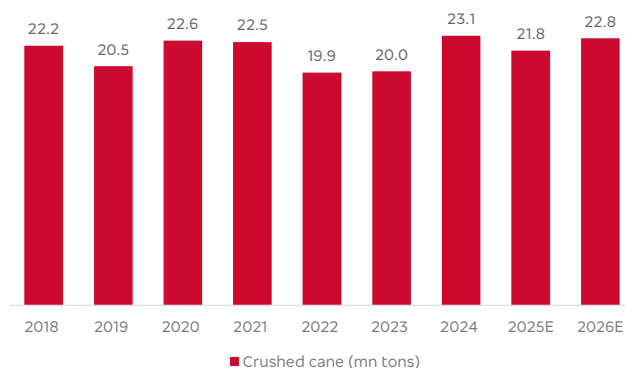
São Martinho: Better Asymmetry, But Carryover Alone Won't Be Enough (N, R\$28)

SMTO also seems poised to deliver a stronger FY2026, with total crushed cane expected to reach 22.8mn tons (+5% YoY), and the sugar mix expanding to 52% (+7.1p.p. YoY). Higher ethanol prices (we model for mill gate hydrous prices in São Paulo state at R\$2.93/l, up 9% YoY) should lead to a stronger contribution margin from its sugarcane-based ethanol production (unit costs during FY6M25 stood at R\$2.37/l, for instance), while also helping the corn ethanol business.

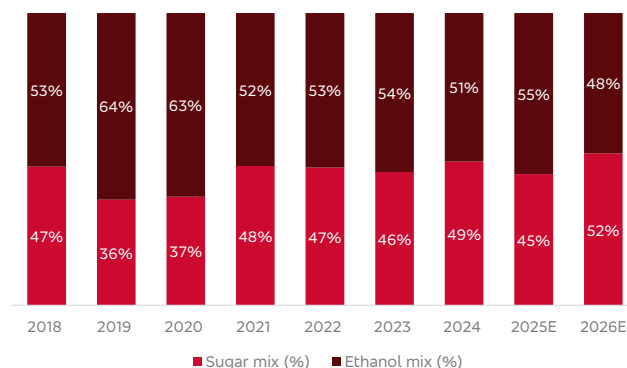
The main uncertainty remains sugar prices. As of FY6M25, SMTO had ~30% of its FY2026 sugar production (ex-third party cane) hedged at R\$2.5k/ton, which is precisely where spot prices stand at (ex-polarization premium). Although we do believe the sugar S-D is structurally tighter, the futures curve remains in backwardation, which could cap how prices are fixed for the remainder of the year.

We are updating our model and keeping our FY2026 EBITDA (ex-IFRS16) estimate virtually unchanged at R\$3.8bn, as higher ethanol prices offset weaker-than-expected sugar. After the recent underperformance, this should translate into a 11% FCFE yield in FY2026, which is solid and should at least act as a valuation anchor, but already embeds sugar prices 9% above the future curve at c19.5/lb, meaning that visibility on upward revisions is still limited.

We are keeping our Neutral rating and reducing our FY26 TP to R\$28/sh (from R\$32) given a 130bps higher Ke. In the near term, the clearer valuation anchor, along with the potential for ethanol prices to continue to rise during Brazil's Center-South off-season does leave us with a positive bias.

Figure 52 - Sugarcane crushed in 2025/26 should grow by 1mn ton

Source: Company Information, Bradesco BBI

Figure 53 - Sugar mix should also reach its potential, helping drive stronger results

Source: Company Information, Bradesco BBI

Table 25 - São Martinho - New vs. Old Estimates

	Unit	2025					2026				
		New	Old	Chg (%)	Street	vs. Street	New	Old	Chg (%)	Street	vs. Street
Net Revenue	R\$ mn	7,478	7,651	-2%	7,539	-1%	8,347	7,932	5%	7,972	5%
EBITDA Adj. ex IFRS-16	R\$ mn	3,253	3,605	-10%	3,773	-14%	3,821	3,773	1%	4,018	-5%
EBITDA margin	R\$ mn	43.5%	47.1%	-3.6pp	50.0%	-6.6pp	45.8%	47.6%	-1.8pp	50.4%	-4.6pp
Net Income	%	585	875	-33%	812	-28%	926	953	-3%	1,011	-8%

Source: Company Information, Bradesco BBI

Table 26 - São Martinho - Income Statement

Income Statement - R\$m	2024A	2025E	2026E	2027E
Net Revenue	6,892	7,478	8,347	8,645
COGS	-5,216	-5,341	-5,571	-5,808
Gross Profit	1,675	2,137	2,777	2,837
Gross Margin	24.3%	28.6%	33.3%	32.8%
SG&A	-599	-652	-756	-778
Other Operating Expenses	1,446	50	53	54
Operating Income	2,523	1,536	2,073	2,113
Operating Margin	36.6%	20.5%	24.8%	24.4%
Net Financial Results	-745	-853	-822	-677
Equity Income	8	4	0	0
Pre-tax Income	1,787	687	1,251	1,436
Net Income	1,476	585	926	1,063
Net Income Margin	21.4%	7.8%	11.1%	12.3%
Net Income Adj.	1,476	585	926	1,063
EBITDA Adj.	3,702	3,907	4,466	4,621
EBITDA Adj. Margin	53.7%	52.2%	53.5%	53.4%
EBITDA Adj. ex IFRS-16	3,070	3,253	3,821	3,951
EBITDA Adj. Ex IFRS-16 Margin	44.5%	43.5%	45.8%	45.7%

Source: Company Information, Bradesco BBI

Table 27 - São Martinho - Balance Sheet

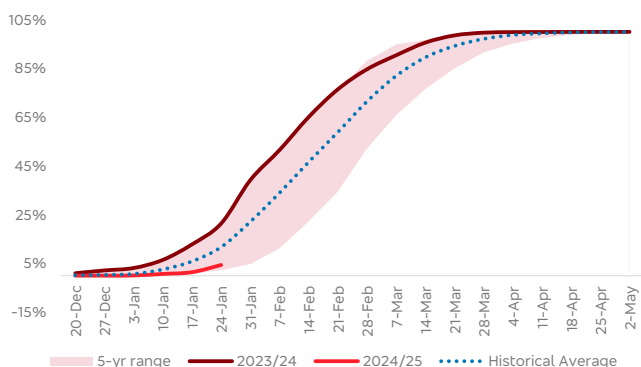
Balance Sheet - R\$m	2024A	2025E	2026E	2027E
Current Assets	6,229	4,943	5,624	5,670
Long Term Assets	2,798	3,306	3,306	3,306
Fixed Assets	11,344	11,930	12,153	12,314
PP&E	455	458	458	458
Total Assets	20,371	20,179	21,084	21,291
Total Liabilities	13,509	13,410	13,535	13,583
Minorities	0	0	0	0
Shareholders' Equity	6,862	6,769	7,548	7,708
Liabilities + Equity	20,371	20,179	21,084	21,291
Total Debt (IFRS16)	9,412	9,230	9,341	9,374
Cash & Equivalents	3,254	2,373	2,962	2,962
Net Debt	6,158	6,856	6,379	6,412
Net Debt/EBITDA	1.7x	1.8x	1.4x	1.4x

Source: Company Information, Bradesco BBI

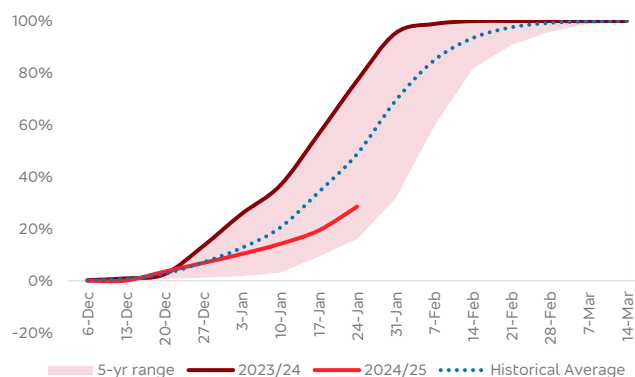
SLC: A Top Performer, (Still) at the Mercy of the Cycle (N, R\$22)

Looking at commodity stocks is often about the asymmetry offered by the cycle (and valuations), and we believe this has improved in SLC's equity story. While we are not expecting another bull market for soft commodity prices to be imminent, the downside is looking limited, and SLC is also an important beneficiary of a weaker BRL.

The current FX environment is the main factor allowing us to revise our expectations upwards, but 2025 should still pose its challenges. Of note: (i) FX hedges that were already well advanced (>85%) for the cotton and soybean volumes that should be commercialized during the fiscal year, preventing the company from fully capitalizing on the weaker BRL; and (ii) risks to the company's 2nd crop cotton areas in Mato Grosso state, with delayed soybean planting and now harvesting. As of Jan. 24, only 4% of the state's soybeans had been harvested, vs. 12% historically, with the total cotton planted area standing at 29%, vs. 49% historically.

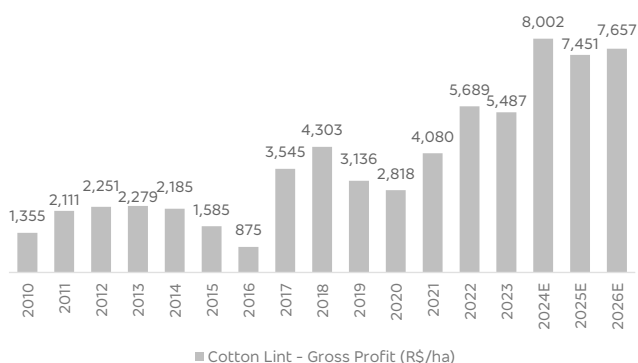
Figure 54 - Soybean harvesting in Mato Grosso state is running 7pp below historical average...

Source: Company Information, Bradesco BBI

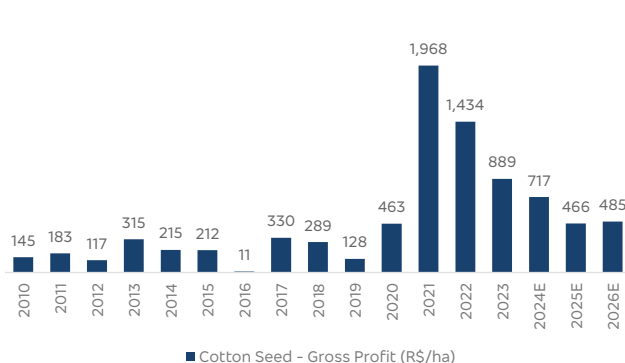
Figure 55 - ... and this has also delayed the cotton seeding (~20pp vs. historical), which puts the planting window at risk

Source: Company Information, Bradesco BBI

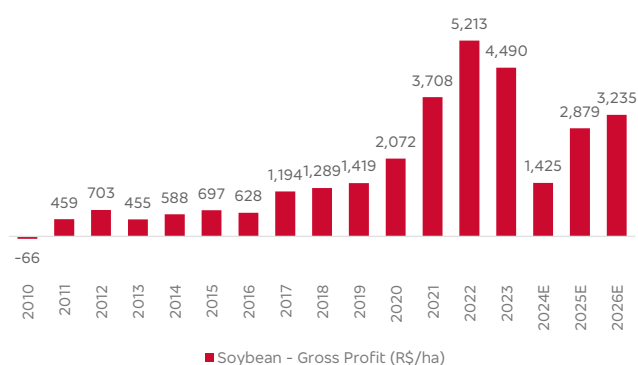
We are revising our 2025E EBITDA estimate up to R\$2.6bn (+13%), but our sense is that investors may have already anticipated even greater expansion. Excluding the company's investments in growth, this should translate into a 7% FCFE yield, which is solid for a cycle bottom, but not as attractive amid the current cost of capital environment. Our numbers embed a 10k ha (-10%) reduction in SLC's 2nd crop cotton area relative to the guidance, and proportional migration to corn, which we expect to have a 71% lower gross profit per hectare in 2025.

Figure 56 - SLC: Cotton Lint - Gross Profit/ha

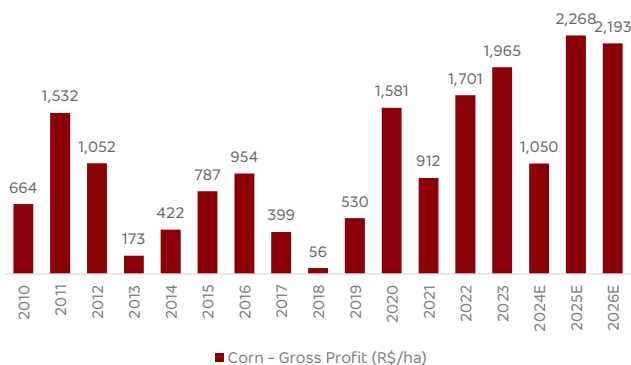
Source: Company Information, Bradesco BBI

Figure 57 - SLC: Cotton Seed - Gross Profit/ha

Source: Company Information, Bradesco BBI

Figure 58 - SLC: Soybean - Gross Profit/ha

Source: Company Information, Bradesco BBI

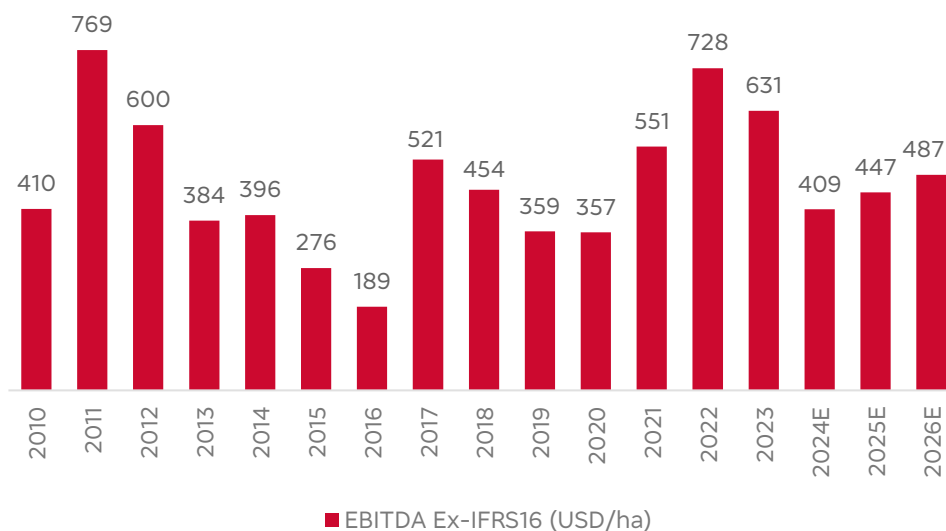
Figure 59 - SLC: Corn - Gross Profit/ha

Source: Company Information, Bradesco BBI

For 2026, the room for EBITDA to once again approach the R\$3bn mark does make for better asymmetry (estimated FCFE yield ex-growth of 11.5%), while expanding the planted

area beyond the 35k ha per year we currently model for is also an important optionality. Still, we believe more confidence on near-term results will be needed before a more upbeat view on the shares is warranted, which is the main reason for us to remain Neutral. We are updating our model, and keeping our YE25 TP of R\$22/sh unchanged even as we incorporate a 130bps higher Ke.

Figure 60 - SLC: Consolidated EBITDA (ex-IFRS16) per hectare (USD/ha)



Source: Company Information, Bradesco BBI

Table 28 - SLC - New vs. Old Estimates

	Unit	2024					2025				
		New	Old	Chg (%)	Street	vs. Street	New	Old	Chg (%)	Street	vs. Street
Net Revenue	R\$ mn	7,000	7,175	-2%	7,394	-5%	7,912	7,393	7%	7,980	-1%
EBITDA	R\$ mn	2,057	2,113	-3%	2,148	-4%	2,631	2,324	13%	2,599	1%
EBITDA margin	R\$ mn	29.4%	29.4%	-0.1pp	9.9%	19.5pp	33.3%	31.4%	1.8pp	32.6%	0.7pp
Net Income	%	516	902	-43%	669	-23%	755	830	-9%	925	-18%

Source: Company Information, Bradesco BBI

Table 29 - SLC - Income Statement

Income Statement - R\$m	2023A	2024E	2025E	2026E
Net Revenue	7,231	7,000	7,912	8,443
COGS	-4,415	-4,823	-5,060	-5,257
Biological Assets (net)	-166	-35	0	0
NRVAP	-29	368	0	0
Gross Profit	2,621	2,509	2,852	3,185
Gross Margin	36.2%	35.8%	36.0%	37.7%
SG&A	-659	-775	-830	-886
Capital Gains	-26	-0	0	0
Operating Income	1,935	1,734	2,022	2,300
Operating Margin	26.8%	24.8%	25.6%	27.2%
Net Financial Results	-711	-1,137	-919	-898
Pre-tax Income	1,224	597	1,103	1,402
Net Income	896	516	755	966
Net Income Margin	12.4%	7.4%	9.5%	11.4%
EBITDA Adj.	2,709	2,057	2,631	2,950
EBITDA Adj. Margin	37.5%	29.4%	33.3%	34.9%
EBITDA Adj. Ex-IFRS16	2,126	1,458	1,970	2,248
EBITDA Ex-IFRS16 Adj. margin	29.4%	20.8%	24.9%	26.6%

Source: Company Information, Bradesco BBI

Table 30 - SLC - Balance Sheet

Balance Sheet - R\$m	2023A	2024E	2025E	2026E
Current Assets	7,368	7,555	7,297	7,503
Long Term Assets	634	851	851	851
Fixed Assets	7,854	8,033	9,467	10,027
PP&E	4,534	5,414	6,549	6,906
Total Assets	15,856	16,439	17,616	18,382
Total Liabilities	10,614	11,249	11,670	11,962
Minorities	315	260	260	260
Shareholders' Equity	4,927	4,930	5,685	6,159
Liabilities + Equity	15,856	16,439	17,616	18,382
Total Debt (IFRS16)	7,686	8,318	8,618	8,821
Cash & Equivalents	1,615	1,641	1,465	1,465
Net Debt	6,071	6,677	7,154	7,357
Net Debt/EBITDA	2.2x	3.2x	2.7x	2.5x
Net Debt/EBITDA ex-IFRS	1.3x	2.6x	2.0x	1.8x

Source: Company Information, Bradesco BBI

Macro Sensitivity

Given the increased uncertainties surrounding the Brazilian macro backdrop, we present a simplified sensitivity analysis on how different FX and interest rate scenarios could impact EBITDA and net income in our Proteins and Agribusiness coverage relative to our current base-case assumptions. To the extent possible, we have also incorporated the companies' hedges for this year and next, where applicable.

Table 31 - 2025 EBITDA Sensitivity

EBITDA 2025E		Company							
		JBS	BRF	Marfrig	3Tentos	Boa Safra	Jalles	São Martinho	SLC
R\$/US\$ (Avg.)	4.80	-17.4%	-10.0%	-14.7%	-9.2%	-7.4%	-10.1%	-12.3%	-6.5%
	5.40	-8.7%	-5.0%	-7.3%	-4.6%	-3.7%	-5.0%	-6.2%	-3.2%
	6.00	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
	6.60	8.7%	5.0%	7.3%	4.6%	3.7%	5.0%	6.2%	3.2%
	7.20	17.4%	10.0%	14.7%	9.2%	7.4%	10.1%	12.3%	6.5%

Source: Bradesco BBI

Table 32 - 2026 EBITDA Sensitivity

EBITDA 2026E		Company							
		JBS	BRF	Marfrig	3Tentos	Boa Safra	Jalles	São Martinho	SLC
R\$/US\$ (Avg.)	4.80	-17.4%	-10.0%	-14.7%	-10.4%	-7.3%	-12.0%	-16.8%	-17.8%
	5.40	-8.7%	-5.0%	-7.3%	-5.2%	-3.6%	-6.0%	-8.4%	-8.9%
	6.00	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%	0.0%
	6.60	8.7%	5.0%	7.3%	5.2%	3.6%	6.0%	8.4%	8.9%
	7.20	17.4%	10.0%	14.7%	10.4%	7.3%	12.0%	16.8%	17.8%

Source: Bradesco BBI

Table 33 - JBS - 2025 Net Income Sensitivity

Net Income 2025E		R\$/US\$ (Avg.)				
		4.80	5.40	6.00	6.60	7.20
Selic (%)	12.6%	-16.5%	-7.7%	1.0%	9.8%	18.5%
	13.6%	-17.0%	-8.2%	0.5%	9.3%	18.0%
	14.6%	-17.5%	-8.7%	0.0%	8.7%	17.5%
	15.6%	-18.0%	-9.3%	-0.5%	8.2%	17.0%
	16.6%	-18.5%	-9.8%	-1.0%	7.7%	16.5%

Source: Bradesco BBI

Table 34 - JBS - 2026 Net Income Sensitivity

Net Income 2026E		R\$/US\$ (Avg.)				
		4.80	5.40	6.00	6.60	7.20
Selic (%)	11.0%	-16.5%	-7.7%	1.1%	9.9%	18.7%
	12.0%	-17.0%	-8.3%	0.5%	9.3%	18.1%
	13.0%	-17.6%	-8.8%	0.0%	8.8%	17.6%
	14.0%	-18.1%	-9.3%	-0.5%	8.3%	17.0%
	15.0%	-18.7%	-9.9%	-1.1%	7.7%	16.5%

Source: Bradesco BBI

Table 35 - BRF - 2025 Net Income Sensitivity

Net Income 2025E		R\$/US\$ (Avg.)				
		4.80	5.40	6.00	6.60	7.20
Selic (%)	12.6%	-9.0%	-2.4%	4.1%	10.7%	17.3%
	13.6%	-11.0%	-4.5%	2.1%	8.6%	15.2%
	14.6%	-13.1%	-6.6%	0.0%	6.6%	13.1%
	15.6%	-15.2%	-8.6%	-2.1%	4.5%	11.0%
	16.6%	-17.3%	-10.7%	-4.1%	2.4%	9.0%

Source: Bradesco BBI

Table 36 - BRF - 2026 Net Income Sensitivity

Net Income 2026E		R\$/US\$ (Avg.)				
		4.80	5.40	6.00	6.60	7.20
Selic (%)	11.0%	-8.3%	-1.9%	4.5%	10.9%	17.4%
	12.0%	-10.6%	-4.2%	2.3%	8.7%	15.1%
	13.0%	-12.8%	-6.4%	0.0%	6.4%	12.8%
	14.0%	-15.1%	-8.7%	-2.3%	4.2%	10.6%
	15.0%	-17.4%	-10.9%	-4.5%	1.9%	8.3%

Source: Bradesco BBI

Table 37 - Marfrig - 2025 Net Income Sensitivity

Net Income 2025E		R\$/US\$ (Avg.)				
		4.80	5.40	6.00	6.60	7.20
Selic (%)	12.6%	-21.3%	-1.6%	18.2%	38.0%	57.7%
	13.6%	-30.4%	-10.7%	9.1%	28.9%	48.6%
	14.6%	-39.5%	-19.8%	0.0%	19.8%	39.5%
	15.6%	-48.6%	-28.9%	-9.1%	10.7%	30.4%
	16.6%	-57.7%	-38.0%	-18.2%	1.6%	21.3%

Source: Bradesco BBI

Table 38 - Marfrig - 2026 Net Income Sensitivity

Net Income 2026E		R\$/US\$ (Avg.)				
		4.80	5.40	6.00	6.60	7.20
Selic (%)	11.0%	-17.4%	-1.0%	15.3%	31.7%	48.1%
	12.0%	-25.1%	-8.7%	7.7%	24.1%	40.5%
	13.0%	-32.8%	-16.4%	0.0%	16.4%	32.8%
	14.0%	-40.5%	-24.1%	-7.7%	8.7%	25.1%
	15.0%	-48.1%	-31.7%	-15.3%	1.0%	17.4%

Source: Bradesco BBI

Table 39 - 3tentos - 2025 Net Income Sensitivity

Net Income 2025E		R\$/US\$ (Avg.)				
Selic (%)	12.6%	4.80	5.40	6.00	6.60	7.20
	13.6%	-9.9%	-4.2%	1.5%	7.3%	13.0%
	14.6%	-10.7%	-4.9%	0.8%	6.5%	12.2%
	15.6%	-11.4%	-5.7%	0.0%	5.7%	11.4%
	16.6%	-12.2%	-6.5%	-0.8%	4.9%	10.7%
		-16.1%	-10.3%	-4.6%	1.1%	6.8%

Source: Bradesco BBI

Table 40 - 3tentos - 2026 Net Income Sensitivity

Net Income 2026E		R\$/US\$ (Avg.)				
Selic (%)	11.0%	4.80	5.40	6.00	6.60	7.20
	12.0%	-11.2%	-4.8%	1.7%	8.1%	14.5%
	13.0%	-12.0%	-5.6%	0.8%	7.3%	13.7%
	14.0%	-12.9%	-6.4%	0.0%	6.4%	12.9%
	15.0%	-13.7%	-7.3%	-0.8%	5.6%	12.0%
		-14.5%	-8.1%	-1.7%	4.8%	11.2%

Source: Bradesco BBI

Table 41 - Boa Safra - 2025 Net Income Sensitivity

Net Income 2025E		R\$/US\$ (Avg.)				
Selic (%)	12.6%	4.80	5.40	6.00	6.60	7.20
	13.6%	-6.4%	-0.3%	5.8%	11.9%	18.0%
	14.6%	-9.3%	-3.2%	2.9%	9.0%	15.1%
	15.6%	-12.2%	-6.1%	0.0%	6.1%	12.2%
	16.6%	-15.1%	-9.0%	-2.9%	3.2%	9.3%
		-18.0%	-11.9%	-5.8%	0.3%	6.4%

Source: Bradesco BBI

Table 42 - Boa Safra - 2026 Net Income Sensitivity

Net Income 2026E		R\$/US\$ (Avg.)				
Selic (%)	11.0%	4.80	5.40	6.00	6.60	7.20
	12.0%	-6.8%	-1.3%	4.2%	9.7%	15.2%
	13.0%	-8.9%	-3.4%	2.1%	7.6%	13.1%
	14.0%	-11.0%	-5.5%	0.0%	5.5%	11.0%
	15.0%	-13.1%	-7.6%	-2.1%	3.4%	8.9%
		-15.2%	-9.7%	-4.2%	1.3%	6.8%

Source: Bradesco BBI

Table 43 - Jalles - 2025 Net Income Sensitivity

Net Income 2025E		R\$/US\$ (Avg.)				
Selic (%)	12.8%	4.80	5.40	6.00	6.60	7.20
	13.8%	-6.2%	6.4%	19.0%	31.7%	44.3%
	14.8%	-15.8%	-3.1%	9.5%	22.2%	34.8%
	15.8%	-25.3%	-12.6%	0.0%	12.6%	25.3%
	16.8%	-34.8%	-22.2%	-9.5%	3.1%	15.8%
		-44.3%	-31.7%	-19.0%	-6.4%	6.2%

Source: Bradesco BBI

Table 44 - Jalles - 2026 Net Income Sensitivity

Net Income 2026E		R\$/US\$ (Avg.)				
Selic (%)	10.0%	4.80	5.40	6.00	6.60	7.20
	11.0%	-15.2%	-1.0%	13.2%	27.4%	41.5%
	12.0%	-21.7%	-7.6%	6.6%	20.8%	34.9%
	13.0%	-28.3%	-14.2%	0.0%	14.2%	28.3%
	14.0%	-34.9%	-20.8%	-6.6%	7.6%	21.7%
		-41.5%	-27.4%	-13.2%	1.0%	15.2%

Source: Bradesco BBI

Table 45 - São Martinho - 2025 Net Income Sensitivity

Net Income 2025E		R\$/US\$ (Avg.)				
Selic (%)	12.8%	4.80	5.40	6.00	6.60	7.20
	13.8%	-17.7%	-5.3%	7.1%	19.6%	32.0%
	14.8%	-21.3%	-8.9%	3.6%	16.0%	28.4%
	15.8%	-24.9%	-12.4%	0.0%	12.4%	24.9%
	16.8%	-28.4%	-16.0%	-3.6%	8.9%	21.3%
		-32.0%	-19.6%	-7.1%	5.3%	17.7%

Source: Bradesco BBI

Table 46 - São Martinho - 2026 Net Income Sensitivity

Net Income 2026E		R\$/US\$ (Avg.)				
Selic (%)	10.0%	4.80	5.40	6.00	6.60	7.20
	11.0%	-30.6%	-12.3%	6.0%	24.3%	42.6%
	12.0%	-33.6%	-15.3%	3.0%	21.3%	39.6%
	13.0%	-36.6%	-18.3%	0.0%	18.3%	36.6%
	14.0%	-39.6%	-21.3%	-3.0%	15.3%	33.6%
		-42.6%	-24.3%	-6.0%	12.3%	30.6%

Source: Bradesco BBI

Table 47 - SLC - 2025 Net Income Sensitivity

Net Income 2025E		R\$/US\$ (Avg.)				
Selic (%)	12.6%	4.80	5.40	6.00	6.60	7.20
	13.6%	-4.4%	3.7%	11.9%	20.1%	28.3%
	14.6%	-10.4%	-2.2%	6.0%	14.1%	22.3%
	15.6%	-16.3%	-8.2%	0.0%	8.2%	16.3%
	16.6%	-22.3%	-14.1%	-6.0%	2.2%	10.4%
		-28.3%	-20.1%	-11.9%	-3.7%	4.4%

Source: Bradesco BBI

Table 48 - SLC - 2026 Net Income Sensitivity

Net Income 2026E		R\$/US\$ (Avg.)				
Selic (%)	12.6%	4.80	5.40	6.00	6.60	7.20
	13.6%	-28.3%	-9.6%	9.2%	28.0%	46.8%
	14.6%	-33.0%	-14.2%	4.6%	23.4%	42.2%
	15.6%	-37.6%	-18.8%	0.0%	18.8%	37.6%
	16.6%	-42.2%	-23.4%	-4.6%	14.2%	33.0%
		-46.8%	-28.0%	-9.2%	9.6%	28.3%

Source: Bradesco BBI

Analyst Certification

Henrique Brustolin was responsible for the preparation and content of this report hereby certifies, pursuant to SEC Regulation Analyst Certification and applicable laws and regulations of other jurisdictions, that:

(i) the views expressed herein accurately and exclusively reflect their personal views and opinions about the issuer(s) and its or their securities;

(ii) no part of their compensation was, is, or will be paid directly or indirectly, related to the specific recommendation or views expressed by that analyst in this report;

And pursuant to Brazilian securities exchange commission (Comissão de Valores Mobiliários – CVM) Resolution N° 20:

(i) the recommendations indicated in this report solely and exclusively reflect their personal opinions, and were prepared independently and autonomously, including in relation to Bradesco Group and its affiliates;

(ii) their compensation is based on the profitability of Ágora CTVM and its affiliates, which includes investment banking revenues;

Important Disclosures

Company-Specific Disclosures

- Ágora CTVM, Bradesco BBI and Bradesco Group companies have relevant financial and commercial interests in relation to all subject companies or the subject securities;
- Bradesco BBI participated as coordinator in the public offering of equity and/or debt securities and/or provided any other type of service for the following companies within the past 12 months mentioned in this report: Boa Safra
- Ágora CTVM participated in the public offering of equity and/or debentures for the following companies within the past 12 months: Boa Safra and Jalles Machado;
- Bradesco BBI may provide services related to financial advisory/M&A for the company(ies) mentioned in this report.

US - Company-Specific Regulatory Disclosures

- Bradesco BBI, Ágora CTVM and/or its affiliates have received compensation for investment banking services from the subject company(ies) in the twelve months preceding the date of publication of the research report and/or expects to receive or intends to seek compensation for investment banking services from the subject company(ies) in the three months following the date of this report.
- Bradesco BBI and/or its affiliates have managed or co-managed a public or Rule 144A offering of Boa Safra securities in the twelve months preceding the date of this report

Research ratings distribution

Rating	Definition	Coverage ¹	BR ²
OUTPERFORM	Expected to outperform the analyst coverage list	50.5%	22.4%
NEUTRAL	Expected to perform in the range of the analyst coverage list	45.8%	12.4%
UNDERPERFORM	Expected to underperform the analyst coverage list	3.8%	25.0%

(1) Percentage of companies under coverage globally within this rating category.

As of 2025 Bradesco BBI @# had 246 companies under coverage globally.

(2) Percentage of companies within this rating category for which [investment banking] services were provided within the past 12 months

Our ratings

Our ratings are constantly revised and any temporary inconsistencies between the upside potential that gave rise to any such rating and the upside potential in connection with the target price are at all times deliberate. The official rating shall prevail.

Any differences between the rating and the target price may occur especially due to the analyst's expectations to the effect that any short/medium term factors that cannot be priced-in yet might lead to inconsistencies between our valuation and the stock behavior. The factors considered include, but are not limited to: Any expectations in connection with quarterly results, market conditions, ownership issues and any expectations involving mergers and acquisitions. The ratings reflect only the analyst's expectation on the future performance of the relevant stock. An "Outperform" rating does not necessarily represent that the analyst approves of the company and its management whilst an "Underperform" rating does not necessarily mean that the analyst has a negative view on the company. Within our coverage universe there are sound companies, with good fundamentals as per the market consensus, and fair priced stock, and would not be our investment pick.

Additional Disclosures

With the exception of investment company funds, our analysts are prohibited to own securities of their respective area of coverage to analysts as well as to the associates reporting to the analysts. Analysts are paid in part based on the profitability of Ágora CTVM and its affiliates, which includes investment banking revenues. Our policy prohibits its analysts and associates reporting to the analysts from serving as an officer or director, advisory board member or employee of any company in the analysts' area of coverage.

The following disclosures are required under or based on the laws of the jurisdiction indicated, except to the extent already made above with respect to United States laws and regulations. Brazil: This report is distributed in Brazil by Ágora CTVM. Any investor in Brazil who receives this report and wishes to conduct transactions with stocks analyzed herein should contact and request execution of orders through Ágora CTVM at its official contacts

United Kingdom and European Economic Area: In the United Kingdom and elsewhere in the European Economic Area, this report may be made or communicated by Bradesco Securities UK Limited ("Bradesco UK"). Bradesco UK is authorized and regulated by the Financial Services Authority and its registered office is at: 20-22 Bedford Row, London, WC1R 4JS. This report is for distribution only to persons who:

- are persons that are eligible counterparties and professional clients of Bradesco UK;
- have professional experience in matters relating to investments falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Financial Promotion Order");

- are persons falling within Article 49 (2) (a) to (d) ("high net worth companies, unincorporated associations etc") of the Financial Promotion Order;
- are outside the United Kingdom, or
- are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000) in connection with the issue or sale of any securities to which this report relates may otherwise lawfully be communicated or caused to be communicated (all such persons together being referred to as "relevant persons").

This report is directed only at relevant persons and must not be acted on or relied on by persons who are not relevant persons. Any investment or investment activity to which this report relates is available only to relevant persons and will be engaged in only with relevant persons. No public offer of any securities to which this report relates is being made by Bradesco UK or Ágora CTVM in the United Kingdom or elsewhere in the European Economic Area.

United States: If not mentioned above on "Bradesco Securities Representative" disclosure, the research members that have prepared and reviewed this research report are not associated persons of Bradesco Securities. They are not registered or qualified as research analysts with FINRA and are not subject to the rules of the FINRA, including FINRA Rule 2241 restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account. Such analysts have the obligation to be in compliance with similar Brazilian legislation and internal policies.

Any U.S. person wishing to effect transactions in securities discussed in this report must do so through Bradesco Securities, Inc., a U.S. broker-dealer.

Hong Kong: In Hong Kong, this report may be distributed by Bradesco Securities Hong Kong Limited ("Bradesco HK"). Bradesco HK is licensed by the Securities and Future Commission ("SFC") to carry on Type 1 and Type 4 regulated activities as defined in the Securities and Future Ordinance (Cap. 571 of the Laws of Hong Kong) ("SFO") in Hong Kong, subject to conditions published on the website of the SFC from time to time. Except for Bradesco HK, none of its affiliates, including Ágora CTVM, carry out or is licensed/authorized to carry out any regulated activities as defined in the SFO in Hong Kong and each of these affiliates is prohibited from carrying on any regulated activities, including but not limited to dealing in securities and advising in securities (as defined in the SFO), in Hong Kong. This report is directed to you by Bradesco HK based on your interest and preference in the relevant underlying securities that you have previously communicated to Bradesco HK. You agree that this report is not intended for the promotion of any services or products of any of Bradesco HK's affiliates in Bradesco group, including those of Ágora CTVM. All Hong Kong recipients of this report wishing to effect transactions in securities discussed should contact and place orders through Bradesco HK at (852) 22518716 or (852) 22518718. This report is intended for distribution only to non-Hong Kong residents or professional investors as defined in the SFO. It is provided solely for informational purposes and do not constitute an offer to buy or sell or a solicitation of an offer to buy or sell any security, product, service or investment to the public within the meaning of the Companies Ordinance (Cap. 32 of the Laws of Hong Kong) or to professional investors within the meaning of the SFO. It has not been reviewed by the SFC or any regulatory authority in Hong Kong.

Other Countries: This report, and the securities discussed herein, may not be eligible for distribution or sale in all countries or to certain categories of investors. In general, this report may be distributed only to professional and institutional investors.

Price target and rating history

Price target, rating history chart(s), valuation/method used to determine price target, and our policy for managing conflicts of interest in connection with investment research are available upon request. You may obtain this information by contacting your representative.

General Disclosures

- 1) Bradesco BBI  is trademark owned by Banco Bradesco S.A. The analysts responsible for this report are part of Ágora CTVM, a Bradesco's Group company.
- 2) This report has been prepared solely by Ágora CTVM and is being provided exclusively for informational purposes. The information, opinions, estimates and projections constitute the judgment of the author as of the current date and are subject to modifications without prior notice. Ágora CTVM has no obligation to update, modify or amend this report and inform the reader accordingly, except when terminating coverage of the issuer of the securities discussed in this report.
- 3) This report, including the estimates and calculations of Ágora CTVM, is based on publicly available information that it consider reliable, but it do not represent it is accurate or complete, and should not be relied upon as such.
- 4) This report is not an offer or a solicitation for the purchase or sale of any financial instrument. It is not intended to provide personal investment advice and it does not take into account the specific investment objectives, financial situation and the particular needs of any specific person who may receive this report. Investors should seek financial advice regarding the appropriateness of investing in any securities, other investment or investment strategies discussed or recommended in this report and should understand that statements regarding future prospects may not be realized.
- 5) Investors should note that income from securities or other investments, if any, referred to in this report may fluctuate and that price or value of such securities and investments may rise or fall. Accordingly, investors may receive back less than originally invested. Past performance is not necessarily a guide to future performance. Ágora CTVM and its affiliates do not accept responsibility for any direct or indirect loss arising due to use of this report. Investors should consider whether any advice or recommendation in this research is suitable for their particular circumstances and, if appropriate, seek professional advice, including tax advice. Exchange rate movements could have adverse effects on the value or price of, or income derived from, certain investments.

6) Ágora CTVM's and its affiliates' salespeople, traders and other professionals may provide oral or written market commentary or trading strategies to their clients and their proprietary trading desks that reflect opinions that are contrary to the opinion expressed in this report. Such market commentary or trading strategies reflect the different time frames, assumptions, views and analytical methods of the persons who prepared them, and Ágora CTVM and its affiliates are under no obligation to ensure that such market commentary or trading strategies are brought to the attention of any recipient of this report.

7) From time to time, Ágora CTVM or its affiliates and officers, directors and employees, not including its analysts may, to the extent permitted by law, hold long or short positions, or otherwise be interested in transactions in assets directly or indirectly related to this report.

8) Non-US research analysts who have prepared this report are not registered or qualified as research analysts with FINRA but instead have satisfied the registration and qualification requirements or other research-related standards of a non-US jurisdiction.

Any additional information may be obtained by contacting your representative.

No portion of this document may be (i) copied, photocopied or duplicated in any form, or by any means, or (ii) redistributed without prior consent from Ágora CTVM